



CHAPTER 42

An Act to consolidate certain enactments relating to the giving of financial assistance for the provision of housing accommodation and to other financial matters.

[23rd July, 1958]

BE it enacted by the Queen's most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and Temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows:—

PART I

FINANCIAL ASSISTANCE FOR HOUSING ACCOMMODATION PROVIDED BY LOCAL AUTHORITIES AND OTHER PUBLIC BODIES

Exchequer subsidies for new housing accommodation

1.—(1) Exchequer subsidies shall be payable in accordance with the provisions of this Act in respect of, and in certain circumstances in respect of the site of, any new dwelling which is— Dwellings
qualifying
for subsidies.

- (a) provided by a local authority in exercise of their powers to provide housing accommodation, or
- (b) provided by a development corporation otherwise than in pursuance of authorised arrangements, or
- (c) provided by a development corporation or housing association in pursuance of authorised arrangements with a local authority;

and which is approved for the purposes of those provisions by the Minister, and such a dwelling which is so approved is hereafter in this Act referred to as an "approved dwelling".

(2) An exchequer subsidy payable under this Part of this Act—

- (a) in respect of, or of the site of, a dwelling such as is mentioned in paragraph (a) or (b) of the foregoing subsection shall be paid to the local authority or, as the case may be, to the development corporation,

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- (b) in respect of, or of the site of, a dwelling such as is mentioned in paragraph (c) of the foregoing subsection shall be paid to the local authority, who shall pay to the development corporation or housing association by way of annual grant an amount not less than the exchequer subsidy.
- (3) An exchequer subsidy shall not be payable in respect of a dwelling, or the site of a dwelling, except where—
- (a) in a case where the dwelling was provided by a local authority in the exercise of their powers to provide housing accommodation or by a development corporation otherwise than in pursuance of authorised arrangements, the tender or estimate for its erection was accepted by a formal resolution of the authority or corporation passed on or after the third day of November, nineteen hundred and fifty-five ;
- (b) in a case where the dwelling was provided by a development corporation or housing association in pursuance of authorised arrangements with a local authority the authorised arrangements were made on or after the said third day of November :

Provided that—

- (i) a formal resolution passed as aforesaid accepting a tender or estimate which was submitted to the Minister for approval before the said third day of November shall be deemed for the purposes of this subsection to have been passed before that day, and
- (ii) where, on approving any authorised arrangements made on or after the said third day of November, the Minister is satisfied that the substantial effect of those arrangements had been agreed between the parties before that day, those arrangements shall be deemed for the purposes of this subsection to have been made before that day.

Power to
abolish or
reduce
subsidies.

2.—(1) The Minister may from time to time by order direct that, in respect of, or of the site of, dwellings of any description specified in the order, or such dwellings in any area so specified, exchequer subsidies under sections one to eight of this Act—

- (a) shall cease to be payable ; or
- (b) shall be reduced to such amount as may be specified in the order ; or
- (c) shall be payable for such reduced number of years as may be so specified.

(2) Any such order shall be expressed to apply to, or to the site of, any dwelling of the description specified in the order—

- (a) the tender or estimate for the erection of which is accepted—
- (i) by a formal resolution of a local authority ; or

(ii) in the case of a dwelling provided by a development corporation otherwise than in pursuance of authorised arrangements, by a formal resolution of the corporation,

passed on or after a date specified in the order ; or

(b) which is provided by a development corporation or housing association in pursuance of authorised arrangements made on or after that date.

(3) An order under this section shall be made by statutory instrument and—

(a) shall not be made unless a draft thereof has been approved by a resolution of the Commons House of Parliament ; and

(b) shall not specify a date under the last foregoing subsection earlier than the date of the laying of the draft ;

and before laying such a draft the Minister shall consult with such associations of local authorities as appear to him to be concerned and with any local authority with whom consultation appears to him to be desirable.

3.—(1) In respect of each approved dwelling which satisfies one of the conditions specified in subsection (2) of this section the Minister shall pay for each of the sixty years following the completion of the dwelling an annual exchequer subsidy of—

Rate of subsidies for dwellings provided for the purposes of slum clearance, etc.

(a) in the case of a dwelling other than a flat in a block of flats of four or more storeys—

(i) being a dwelling such as is mentioned in paragraph (a) or (b) of the said subsection (2), twenty-two pounds one shilling ;

(ii) being a dwelling such as is mentioned in any of paragraphs (c) to (f) of the said subsection (2), twenty-four pounds ;

(b) in the case of a flat in a block of flats of four storeys, thirty-two pounds ;

(c) in the case of a flat in a block of flats of five storeys, thirty-eight pounds ;

(d) in the case of a flat in a block of flats of six or more storeys, fifty pounds, increased by one pound fifteen shillings for each storey by which the block exceeds six storeys.

(2) The conditions referred to in the foregoing subsection are that the dwelling was—

(a) provided by a local authority for the purposes of slum clearance or re-development ; or

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- (b) provided by a local authority for the purposes of re-housing persons coming from such camps or other unsatisfactory temporary housing accommodation as the Minister may designate for the purposes of this paragraph ; or
- (c) provided by a local authority in the course of a scheme of town development as defined by the Town Development Act, 1952, carried out with the approval of the Minister wholly or partly in the area of that authority ; or
- (d) provided by a local authority for the accommodation of persons coming from outside the area of that authority in order to meet the urgent needs of industry, where the dwelling has been so provided in accordance with arrangements approved by the Minister as being desirable by reason of special circumstances and so long as any conditions laid down by the Minister on the giving of his approval are complied with ; or
- (e) provided by the local authority of a congested or over-populated area in some other area as part of a scheme of comprehensive development the general character of which is, in the opinion of the Minister, similar to development for the purposes of a new town under the New Towns Act, 1946 ; or
- (f) provided by a development corporation otherwise than in pursuance of authorised arrangements.

(3) In the case of a dwelling provided in pursuance of authorised arrangements with a local authority, the Minister may direct that this section shall apply to that dwelling as if it were a dwelling mentioned in such, if any, of paragraphs (a), (b), (d) or (e) of the last foregoing subsection as the Minister, having regard to the intentions of the local authority with respect to the use of that dwelling when entering into the arrangements, may determine to be appropriate.

(4) For the purposes of paragraph (a) of subsection (2) of this section, a dwelling shall be deemed to be provided by a local authority for the purposes of slum clearance or re-development if, and only if, provision of the dwelling by the authority is rendered necessary—

(a) by displacements of persons occurring—

(i) in connection with any action taken by the authority under the principal Act for the demolition of insanitary houses or for dealing with clearance areas, or for closing the whole or part of any building ; or

(ii) in connection with the implementation of an undertaking for the demolition of an insanitary house given by the owner thereof in lieu of the taking by the authority of such action as aforesaid ;
or

(iii) in connection with the demolition of an insanitary house belonging to the authority ; or

to (b) by displacements occurring in the carrying out of re-development in accordance with a re-development plan within the meaning of Part III of the principal Act from houses which are unfit for human habitation and not capable at a reasonable expense of being rendered so fit, or which are so arranged as to be congested, or, where the re-development plan was submitted to the Minister before the third day of November, nineteen hundred and fifty-five, from any house in the re-development area.

4.—(1) This section shall have effect as respects dwellings which do not satisfy any of the conditions specified in subsection (2) of the last foregoing section.

Rate of
subsidies
for other
dwellings.

(2) In respect of each approved dwelling which contains not more than one bedroom the Minister shall pay for each of the sixty years following the completion of the dwelling an annual exchequer subsidy of—

- (a) in the case of a dwelling other than a flat in a block of flats of four or more storeys, ten pounds ;
- (b) in the case of a flat in a block of flats of four storeys, twenty pounds ;
- (c) in the case of a flat in a block of flats of five storeys, twenty-six pounds ;
- (d) in the case of a flat in a block of flats of six or more storeys, thirty-eight pounds, increased by one pound fifteen shillings for each storey by which the block exceeds six storeys.

(3) Subject to the provisions of subsection (4) of this section, no exchequer subsidy shall be payable under this section in respect of an approved dwelling which contains more than one bedroom if—

- (a) in a case of a dwelling provided by a local authority in the exercise of their powers to provide housing accommodation, the tender or estimate for its erection, not having been submitted to the Minister for approval before the second day of November, nineteen hundred and fifty-six, was accepted by a formal resolution of the authority passed on or after that day, and

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(b) in a case of a dwelling provided by a development corporation or housing association in pursuance of authorised arrangements with a local authority, the arrangements were made and approved by the Minister on or after that day, and were not arrangements the substantial effect of which the Minister is satisfied had been agreed between the parties before that day.

(4) In respect of an approved dwelling which contains more than one bedroom and to which paragraph (a) or (b) of subsection (3) of this section applies, the Minister shall pay for each of the sixty years following the completion of the dwelling an annual exchequer subsidy of one shilling—

(a) if the Minister thinks fit so to determine in the case of a dwelling (other than a flat in a block of flats of four or more storeys) provided by, or in pursuance of authorised arrangements with, the council of a county district by way of housing accommodation required for the agricultural population of that district, or

(b) if the Minister is satisfied that the cost of providing the dwelling has been substantially enhanced by expenses attributable to measures taken—

(i) for securing protection against the consequences of a subsidence of the site, or

(ii) in the construction of the dwelling in order to preserve the character of the surroundings, or

(c) if the dwelling is provided by a local authority as to whom the Minister is of opinion that more housing accommodation is urgently required to be provided by that authority and could not be provided without imposing an unreasonably heavy rate burden or necessitating charging unreasonably high rents for that and other housing accommodation provided by that authority.

(5) In respect of each approved dwelling which contains more than one bedroom and to which paragraphs (a) and (b) of subsection (3) of this section do not apply, the Minister shall pay an exchequer subsidy at the rate applicable under subsection (2) of this section in the case of a dwelling which does not contain more than one bedroom.

(6) For the purposes of section two of this Act subsections (3) and (4) of this section shall have effect as if contained in an order under that section.

Increase of
subsidies for
agricultural
dwellings, etc.

5. If the Minister thinks fit so to determine in the case of any dwelling provided by, or in pursuance of authorised arrangements with, the council of a county district by way of housing accommodation required for the agricultural population of that

district (being a dwelling in respect of which a contribution is payable under the last foregoing section and not being a flat in a block of flats of four or more storeys), the amount of the annual exchequer subsidy payable in respect of that dwelling under this Act, as determined apart from the provisions of this and the next following section, shall be increased by nine pounds.

6.—(1) Where the Minister is of opinion, on an application made to him by a local authority—

Power to increase subsidies for housing to meet special needs.

- (a) that there is urgent need for more housing accommodation which will only be met if that accommodation is provided by that authority; and
- (b) that unless the Minister exercises his powers under this section that housing accommodation could not be provided without imposing an unreasonably heavy rate burden or necessitating the charging of unreasonably high rents for that and other housing accommodation provided by the authority,

the Minister may direct that, in the case of any approved dwelling provided by that authority (not being a dwelling such as is mentioned in paragraph (c), (d) or (e) of subsection (2) of section three of this Act), the amount of the annual exchequer subsidy otherwise payable under this Act, if less than the amount hereinafter specified, shall be increased to such sum as may be specified in the direction not exceeding—

- (i) in the case of a dwelling other than a flat in a block of flats of four or more storeys, thirty pounds; or
- (ii) in the case of such a flat, forty pounds.

(2) In exercising his powers under this section the Minister shall have regard to any conditions which may be laid down by the Treasury.

7. If any building consisting of or comprising an approved dwelling is provided on a site the cost of which as developed (ascertained in accordance with the provisions of the First Schedule to this Act and expressed as a cost per acre) exceeds four thousand pounds, then in respect of that site or the portion thereof on which that building is erected the Minister shall pay for each of the sixty years following the completion of the building an annual exchequer subsidy at the rate of sixty pounds per acre, increased at the rate of thirty-four pounds per acre for every thousand pounds or part of a thousand pounds by which the said cost exceeds five thousand pounds;

Subsidies for expensive sites.

Provided that—

- (a) if none of the buildings provided or to be provided on the site is a block of flats of four or more storeys, any amount by which the said cost exceeds ten thousand pounds shall be disregarded;

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- (b) if any building or part of a building erected or to be erected on the site is designed for use otherwise than as housing accommodation, then, for the purpose of calculating any exchequer subsidy under this section in respect of that site or any portion thereof, the said cost shall be deemed to be reduced by so much thereof as, in the opinion of the Minister, may fairly be apportioned to that building or part of a building.

Increase of
subsidies:
rights of
support
and houses
constructed
to preserve the
character of
surroundings.

8.—(1) Where the Minister is satisfied, on an application made to him—

- (a) by a local authority with respect to any house which the authority have provided or intend to provide, or
(b) by a housing association or development corporation with respect to a house provided by them in pursuance of authorised arrangements,

that the cost of providing the house has been or will be substantially enhanced by expenses attributable to the acquisition of rights of support, or otherwise attributable to measures taken by them for securing protection against the consequences of a subsidence of the site, then, if the Minister thinks fit so to determine, the amount of the annual exchequer subsidy payable under this Act shall be that amount as determined apart from the provisions of this subsection and section six of this Act plus such sum not exceeding two pounds as the Minister may determine.

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(2) Where the Minister is satisfied, on an application made to him—

- (a) by a local authority with respect to any house which the authority have provided or intend to provide, or
(b) by a housing association or development corporation with respect to a house provided by them in pursuance of authorised arrangements,

that the cost of providing the house has been or will be substantially enhanced by expenses attributable to measures taken with his consent by them in the construction of the house (whether by the use of stone or other special material or otherwise howsoever) in order to preserve the character of the surroundings, then, if the house is or becomes one in respect of which an annual exchequer subsidy is payable under this Act and the Minister thinks fit so to determine, the amount of the annual exchequer subsidy payable under this Act shall be that amount as determined apart from the provisions of this subsection and section six of this Act plus such sum not exceeding five pounds as the Minister may determine.

Exchequer contributions for improving housing accommodation

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9.—(1) With a view to encouraging the improvement of housing accommodation by local authorities, the Minister may approve proposals (hereafter in this and the next following section referred to as “improvement proposals”) submitted to him by a local authority for—

Contributions
for dwellings
improved
by local
authorities.

(a) the provision of dwellings by the authority by means of the conversion of houses or other buildings,

(b) the improvement of dwellings by the authority,

and may, subject to and in accordance with the provisions of the next following section, make a contribution towards the annual loss likely to be incurred by a local authority as a result of giving effect to approved improvement proposals.

(2) Before approving any improvement proposals the Minister shall satisfy himself that, as respects dwellings to be provided in accordance with the proposals, the dwellings will provide satisfactory housing accommodation for a period of not less than thirty years from the completion of the works necessary for the conversion of the buildings in question, and, as respects dwellings to be improved in accordance with the proposals, the dwellings as so improved will provide such accommodation for a period of not less than thirty years from the completion of the improvements:

Provided that the Minister may approve the proposals as respects dwellings to be provided or improved if satisfied that the said period is likely to be more than fifteen years and that it is expedient in all the circumstances that the proposals should be approved.

(3) The Minister shall also satisfy himself that all dwellings to be provided or improved in accordance with the proposals will conform with such requirements with respect to their construction and physical condition and the provision of services and amenities as may be specified for the purposes of this section by the Minister:

Provided that if, in relation to all or any of the said dwellings, the Minister is not satisfied that the dwellings or dwelling will conform with a particular requirement so specified, he may, notwithstanding that fact, approve the proposals if he is satisfied that, in all the circumstances of the case, conformity with that requirement would be impracticable.

(4) The local authority for the purposes of this section as respects England and Wales other than the administrative county of London, shall be the council of the borough, urban district or rural district.

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(5) As respects the administrative county of London, other than the City of London, both the London County Council and the council of a metropolitan borough shall be local authorities for the purposes of this section, and as respects the City of London, the Common Council shall be the local authority for those purposes.

(6) References in this section to the improvement of dwellings shall be construed as including references to the alteration or enlargement thereof and to the execution of works of repair thereto, not being works of ordinary repair, and as including also references to the execution of works of ordinary repair thereto so far, but so far only, as the execution thereof is incidental to or connected with the execution of works of improvement, alteration or enlargement or of works of repair not being works of ordinary repair, and in this section the expression "improved" shall be construed accordingly.

Rate of
contribution
for local
authorities.

10.—(1) A contribution under the last foregoing section towards the annual loss likely to be incurred by a local authority as a result of giving effect to approved improvement proposals shall be a sum equal to three-quarters of that loss, payable annually for the period of twenty financial years beginning with the year in which the carrying out of the proposals is completed :

Provided that an order under section two of this Act may, as respects proposals approved by the Minister after such date as may be specified in the order, reduce the proportion of the said annual loss to some other proportion, less than three-quarters but not less than two-thirds.

(2) The amount of the said annual loss shall be determined by the Minister and for the purpose of the determination regard shall be had—

- (a) to expenses proposed to be incurred by the local authority in acquiring interests in land for the purpose of giving effect to the proposals,
- (b) to the estimated cost of executing works of conversion or improvement in accordance with the proposals,
- (c) to the annual income, which, if effect were not given to the proposals, might reasonably be expected to accrue to the authority from interests owned by them in buildings proposed to be converted or dwellings proposed to be improved,
- (d) to the annual income which may reasonably be expected to accrue to the authority from the dwellings provided or improved as a result of giving effect to the proposals, and
- (e) to any other matter which appears to the Minister to be relevant.

(3) It shall be the duty of a local authority by whom improvement proposals are submitted to the Minister to furnish to him such estimates and such particulars with respect to the proposals as he may require for the purposes of this section.

11. The Minister may approve any proposals for the provision or improvement of dwellings submitted to him by a development corporation which he would have power to approve under section nine of this Act if they were submitted to him by a local authority, and the like contribution shall be made by the Minister to a development corporation towards the annual loss likely to be incurred by the corporation as a result of giving effect to proposals approved under this section as would have been made by him had the proposals been submitted by a local authority.

Contributions
for dwellings
improved by
development
corporations.

12.—(1) Where arrangements have been made under section one hundred and twenty-one of the principal Act by a local authority with a housing association or, by virtue of section one hundred and twenty-five of that Act, with a development corporation, the Minister shall make to the local authority a contribution of a sum, payable annually for the period of twenty financial years beginning with the year in which the carrying out of the arrangements is completed, equal to three-quarters of the annual loss determined by the local authority, with the approval of the Minister, to be likely to be incurred by the corporation or association in carrying out the arrangements, and the local authority shall pay to the corporation or association for that period annual grants each of an amount not less than the said sum:

Contributions
for dwellings
improved
under
arrangements
with local
authorities.

Provided that an order under section two of this Act may, as respects arrangements made after such date as may be specified in the order, reduce the proportion of the said annual loss to some other proportion less than three-quarters, but not less than two-thirds.

(2) If the Minister is satisfied that the corporation or association have made default in giving effect to the terms of the arrangements, he may reduce the amount of the contribution payable to the local authority under this section, or suspend or discontinue the payment thereof as he thinks just, and the local authority may reduce to a proportionate or any less extent, the annual grant payable by them to the corporation or association, or may suspend the payment thereof for a corresponding period, or may discontinue the payment thereof, as the case may be.

(3) For the purpose of the determination of the amount of the annual loss under this section regard shall be had—

- (a) to expenses proposed to be incurred by the corporation or association in acquiring interests in land for the purpose of giving effect to the arrangements,

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- (b) to the estimated cost of executing works of conversion or improvement in accordance with the arrangements,
- (c) to the annual income which, if effect were not given to the arrangements, might reasonably be expected to accrue to the corporation or association from interests owned by them in buildings proposed to be converted or dwellings proposed to be improved,
- (d) to the annual income which may reasonably be expected to accrue to the corporation or association from the dwellings provided or improved as a result of giving effect to the arrangements, and
- (e) to any other matter which appears to the local authority to be relevant.

Grants and other financial assistance for special purposes

Exchequer contributions for local authorities buying unfit houses for temporary occupation.

13.—(1) The Minister may make such contributions as are authorised by this section towards expenditure incurred by any local authority in respect of houses approved by the Minister for the purposes of this section, being—

- (a) houses on land in a clearance area purchased by or belonging to the local authority within that area, the demolition of which is postponed under the powers conferred by Part III of the principal Act, being houses retained for temporary use for housing purposes,
- (b) houses comprised in a clearance order the demolition of which is, under the provisions of the order, to be postponed,
- (c) houses purchased under section twenty-nine of the principal Act.

(2) Subject to the following provisions of this section, contributions payable by the Minister in respect of any house shall be as follows, that is to say,—

- (a) in the case of a house purchased by the local authority, an annual payment equal to one half of the annual loan charges referable to the cost of the purchase, payable for each financial year during the whole or part of which the house or any part of the house is used for housing purposes with the approval of the Minister, and
- (b) in any case an annual payment of three pounds or, in the case of a house containing at the date on which the house is approved for the purpose of this section more than one separate dwelling, of the said sum for each such dwelling, payable for fifteen years from the said date:

Provided that the Minister may from time to time by order contained in a statutory instrument direct that paragraph (b) of

this subsection shall have effect, in relation to houses approved after the date on which the order comes into force, as if for the sum therein specified there were substituted such higher or lower sum as may be specified in the order.

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(3) If it appears to the Minister that the expenditure incurred as a whole by a local authority in the repair, improvement and maintenance of houses approved by the Minister for the purposes of this section is unduly low having regard to the amount of the contributions for the time being payable in respect of those houses under paragraph (b) of subsection (2) of this section, he may withhold the whole or any part of the contributions payable under that paragraph to that authority.

(4) An order of the Minister under subsection (2) of this section shall be of no effect until it is approved by resolution of the Commons House of Parliament.

(5) For the purposes of this section the annual loan charges referable to the cost of a purchase shall (whatever may be the manner in which the local authority have provided or intend to provide the money required for the purchase) be the annual sum which, in the opinion of the Minister, would fall to be provided by the local authority for the payment of interest on, and the repayment of, an amount of borrowed money equal to the said cost, being money the period for the repayment of which is sixty years.

14. Where—

Grants for building experiments.

(a) the Minister is satisfied on an application made to him by a local authority or development corporation with respect to a house which they have provided that the cost of providing the house has been substantially enhanced by reason of either or both of the following matters, namely,—

(i) that, with his consent, the house has been constructed in whole or in part by an experimental method;

(ii) that, with his consent, materials have, for the purposes of experiment, been used in the construction of the house or equipment or fittings have, for those purposes, been installed in the house in the course of the construction thereof; or

(b) with the consent of the Minister expense is incurred by a local authority or development corporation in incorporating or installing in a house, otherwise than in the course of the construction thereof, materials, equipment or fittings for the purposes of experiment :

then, subject to such conditions (if any) as the Treasury may determine, the Minister may make to the authority or corporation a grant of such amount and payable in such manner as he may determine.

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Grants for
hostels.

15.—(1) In respect of a new building provided, or a building converted, by a local authority or development corporation for use as a hostel, being a building approved for the purposes of this subsection by the Minister, the Minister shall (subject to the provisions of section twenty-two of this Act) make to the authority or corporation a contribution—

- (a) payable annually for such number of financial years, not exceeding sixty, as he may determine, being years beginning with the year in which the building is, or, as the case may be, the works of conversion are, completed ;
- (b) of such amount, not exceeding the sum produced by multiplying five pounds by the number of bedrooms contained in the building, as he may determine having regard to the standard of construction and amenity of the building.

(2) Subject to the provisions of section twenty-two of this Act, the like contribution, if any, shall be payable in respect of a building which, under authorised arrangements made by a local authority with a development corporation or housing association, has been provided or converted by that corporation or association for use as a hostel as would be payable if the building had been provided or converted by the local authority for such use, and shall be paid by the Minister to the authority, who shall pay to the corporation or association by way of annual grant an amount not less than the contribution.

(3) This section shall not apply to a new building completed or a building converted before the thirtieth day of July, nineteen hundred and forty-nine, or to any premises provided for the purposes of Part III of the National Assistance Act, 1948, by a local authority.

(4) In this section the expression “ hostel ” means a building wherein is provided, for persons generally or for any class or classes of persons, residential accommodation (otherwise than in separate and self-contained sets of premises) and board.

Grants for
temporary
housing
accommoda-
tion provided
in war
buildings.

16.—(1) Where a local authority have, for the purpose of discharging any of their duties under Part V of the principal Act, acquired the right to use any government war buildings, and the Minister has approved for the purposes of this section arrangements made by the authority for using those buildings, whether with or without alterations, for providing temporary housing accommodation, then—

- (a) if the Minister estimates that the authority will incur a loss in any year in respect of the provision of housing accommodation in pursuance of the arrangements, the

Minister shall make to the authority a contribution for that year of a sum equivalent to the estimated loss ; and

- (b) if the Minister estimates that the authority will make a profit in any year in respect of the provision of housing accommodation in pursuance of the arrangements, the authority shall pay to the Minister in respect of that year a sum equivalent to the estimated profit.

(2) For the purposes of any such estimate, there shall be deemed to accrue to a local authority, in respect of any house provided by the authority in pursuance of any such arrangements as aforesaid, in addition to any other income accruing from the house—

- (a) where the authority are the council of a rural district, the sum of six pounds a year ; and
(b) in any other case, the sum of eight pounds a year.

(3) Where any buildings are demolished by a local authority upon ceasing to be used for the purpose of providing housing accommodation in pursuance of such arrangements as aforesaid, then—

- (a) the Minister shall pay to the authority the cost of demolition ; and
(b) any sums realised by the authority by the disposal of materials derived from the demolished buildings shall be paid by the authority to the Minister.

(4) In this section the expression “ government war building ” means any building which constitutes government war works as defined by section fifty-nine of the Requisitioned Land and War Works Act, 1945, and the expression “ alterations ” includes adaptations, enlargements and improvements.

17.—(1) The provisions of this section shall have effect as respects any housing association—

Additional
financial
assistance for
certain housing
associations.

- (a) which, in pursuance of arrangements made by the Minister, has been established since the eighteenth day of April, nineteen hundred and forty-six, and
(b) whose objects include both the construction of houses and the provision and management of houses,

and any such association is hereafter in this section referred to as “ the association ”.

(2) If the Minister is satisfied that the total net expenditure of the association in any year, calculated in such manner as he may with the consent of the Treasury determine, being expenditure necessarily incurred by the association—

- (a) for the purpose of the execution of authorised arrangements made with the association, or

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- (b) for the purpose of the execution of work which the association had been employed by a local authority to undertake in connection with the provision by the authority of housing accommodation,

cannot be met without the provision of assistance under this subsection, he may, with the approval of the Treasury, make such payments by way of grant to the association as he may determine to be necessary for the purpose of enabling them to meet that expenditure:

Provided that no payment shall be made by the Minister under this subsection in respect of any expenditure incurred by the association for the purpose of the execution of any authorised arrangements unless, in respect of each house provided by the association under the arrangements, the association are entitled to receive, in addition to the annual grants under section one of this Act or any other enactment, a grant from the appropriate local authority of an amount not less than the annual rate fund contribution which in the opinion of the Minister would have been payable by the authority in respect of that house under section five of the Housing (Financial and Miscellaneous Provisions) Act, 1946, if that section had continued in force and if the authority had, in exercise of their powers to provide housing accommodation, provided the house themselves.

(3) Subject to the provisions of this section, the Treasury may issue to the Minister, out of the Consolidated Fund of the United Kingdom, such sums as are necessary to enable the Minister to make loans to the association for the purpose of enabling or assisting the association to defray—

- (a) any preliminary expenses incurred in connection with the establishment of the association;
- (b) any expenses incurred by the association for the purpose of the execution of authorised arrangements made with a local authority; or
- (c) any expenses of the association in respect of work which the association have been employed by a local authority to undertake in connection with the provision by the authority of housing accommodation.

(4) The power of the Treasury, under subsection (1) of section one of the Building Materials and Housing Act, 1945, to advance money to the Minister of Works out of the Consolidated Fund of the United Kingdom shall include power, subject to and in accordance with the provisions of that section, to advance money to that Minister for the purpose of defraying his expenses in carrying out work on behalf of and at the request of the association, being—

- (a) work which the association have been employed by a local authority to undertake in connection with the

provision by the authority of housing accommodation ;
or

(b) work in connection with the execution of authorised arrangements made with a local authority.

(5) The total amount issued by the Treasury under subsection (3) of this section, after deducting any sums which have been repaid, shall not at any time exceed fifteen million pounds.

(6) For the purpose of providing sums to be issued under subsection (3) of this section, the Treasury may, at any time, if they think fit, raise money in any manner in which they are authorised to raise money under the National Loans Act, 1939 ; and any securities created and issued to raise money under this subsection shall be deemed for all purposes to have been created and issued under the National Loans Act, 1939.

(7) The Minister shall, as respects each financial year in which sums are outstanding from the Exchequer in respect of money issued to him under subsection (3) of this section, prepare, in such form and manner as the Treasury may direct, an account of those sums.

Any account prepared under this subsection shall, on or before the thirtieth day of November next following the expiration of the financial year in question, be transmitted to the Comptroller and Auditor General, who shall examine and certify the account and lay copies thereof, together with his report thereon, before Parliament.

(8) Any sums received by the Minister by way of interest on or repayment of any loan made out of money issued to him by the Treasury under this section shall be paid into the Exchequer and issued out of the Consolidated Fund of the United Kingdom at such times as the Treasury may direct and shall be applied by the Treasury as follows :—

(a) so much thereof as represents principal shall be applied in redeeming or paying off debt of such description as the Treasury think fit ;

(b) so much thereof as represents interest shall be applied towards meeting such part of the annual charges for the National Debt as represents interest.

Power to reduce or withhold certain grants

18.—(1) If at any time the Minister is satisfied that a local authority—

(a) have failed to discharge any of the duties imposed on them by virtue of the principal Act or this Act, or

(b) have failed to observe any condition subject to which they are entitled to receive an exchequer payment,

Powers with respect to grants for housing provided by local authorities.

the Minister may reduce the amount of any exchequer payment payable to the local authority, or suspend or discontinue the payment of any such exchequer payment, as he thinks just.

PART I
—cont.

(2) If any house, building, land or dwelling in respect of which a local authority are required by this Act to keep a Housing Revenue Account is with the consent of the Minister sold by them or leased by them under section one hundred and four or section one hundred and five of the principal Act, he may reduce the amount of any exchequer payment payable to the authority, or suspend or discontinue the payment of any such exchequer payment, as he thinks just.

(3) Subsection (1) of section one hundred and eighty-one and section one hundred and eighty-two of the principal Act (which relate to powers exercisable by the Minister) shall apply as if references therein to that Act included references to this section.

(4) In this section “exchequer payment” has the meaning assigned to it by subsection (2) of section fifty-eight of this Act.

Provisions
with respect to
grants for
houses
provided by
development
corporations.

19.—(1) If the Minister is satisfied that a development corporation have made default in giving effect to the terms of any authorised arrangements made with a local authority—

(a) he may reduce the amount of any subsidy or contribution payable to the corporation in respect of houses provided under authorised arrangements by the corporation, or suspend or discontinue the payment of any such subsidy or contribution, as he thinks just, and

(b) the local authority may reduce to a proportionate or any less extent the annual grant payable by them to the corporation, or may suspend the payment thereof for a corresponding period, or may discontinue the payment thereof, as the case may be.

(2) No annual grant shall be made to a development corporation by a local authority in respect of a house provided under authorised arrangements if, before the grant is made, the Minister is satisfied that, during the whole or the greater part of the period to which the payment is referable, the house has not been available as a dwelling fit for habitation and where the duty of a local authority to make an annual grant is wholly or partly discharged by virtue of this subsection, the Minister may make such consequential reductions as he thinks appropriate in any sum payable by him to the local authority:

Provided that this subsection shall not apply if the Minister is satisfied that the house could not with reasonable diligence have been made available, during the whole or the greater part of the period to which the grant is referable, as a dwelling fit for habitation.

Any question under this subsection as to the period to which a grant is referable shall be determined by the Minister.

(3) Where, in pursuance of any agreement or order made under the New Towns Act, 1946, a house provided by a development corporation, being a house in respect of which a subsidy or contribution is for the time being payable under section one of this Act, subsection (3) of section ninety-four of the Housing Act, 1936, or subsection (2) of section eight of the New Towns Act, 1946, is transferred to a local authority, then—

- (a) the subsidy or contribution shall cease to be payable, and
- (b) the Minister may, if he thinks fit, pay to the local authority sums not exceeding the subsidies or contributions which would be payable in respect of the house if it had not been so transferred.

20.—(1) If the Minister is satisfied that a housing association have made default in giving effect to the terms of any authorised arrangements made with a local authority,—

Powers with respect to grants for housing provided by housing associations.

- (a) he may reduce the amount of any subsidy or contribution payable to the local authority in respect of houses provided under authorised arrangements by the housing association, or suspend or discontinue the payment of any such subsidy or contribution, as he thinks just, and
- (b) the local authority may reduce to a proportionate or any less extent the annual grant payable by them to the housing association, or may suspend the payment thereof for a corresponding period, or may discontinue the payment thereof, as the case may be.

(2) If in the case of a house—

- (a) which has been provided by a housing association, and
- (b) in respect of which contributions are payable by the Minister under the Housing (Financial Provisions) Act, 1924, or section twenty-nine of the Housing Act, 1930,

the Minister is satisfied that any of the conditions set out in paragraph 1, or, as the case may be, paragraph 2 of the Second Schedule to this Act, has not been complied with, any contribution payable in respect of the house may be discontinued, or the amount thereof may be reduced, and the duration thereof may be curtailed, as the Minister thinks just.

(3) No payment shall be made to a housing association or housing trust—

- (a) by a local authority by way of annual grant in respect of a house provided under authorised arrangements, or
- (b) by the Minister by way of contribution under section nineteen of the Housing, Town Planning, &c., Act,

PART I
—cont.

1919, or section three of the Housing, &c., Act, 1923, in respect of a house provided under either of those sections,

if, before the payment is made, the Minister is satisfied that, during the whole or the greater part of the period to which the payment is referable, the house has not been available as a dwelling fit for habitation and where the duty of a local authority to make an annual grant is wholly or partly discharged by virtue of this subsection, the Minister may make such consequential reductions as he thinks appropriate in any sum payable by him to the local authority:

Provided that this subsection shall not apply if the Minister is satisfied that the house could not with reasonable diligence have been made available, during the whole or the greater part of the period to which the grant is referable, as a dwelling fit for habitation.

Any question under this subsection as to the period to which any payment is referable shall be determined by the Minister.

(4) This section shall have effect subject to the provisions of any scheme under section one hundred and twenty-three of the principal Act (which authorises the unification of the conditions to be observed by a housing association in respect of houses provided by them under different enactments).

Effect on
contributions
of a house
provided by a
housing
association
vesting in a
local
authority.

21.—(1) Where a house which has been provided by a housing association under authorised arrangements with a local authority becomes vested in that local authority—

(a) no further subsidy or contribution or annual grant shall, after the time of the vesting, become payable by the Minister or, as the case may be, by the authority in respect of the house, and

(b) the Minister may, if he thinks fit, pay to the authority a sum equivalent to any subsidy or contribution which would, after the said time, become payable to the authority in respect of the house if all conditions precedent to the payment of that subsidy or contribution had been at all material times observed.

(2) Where a house which has, with the assistance of a local authority given under section twenty-nine of the Housing Act, 1930, been provided by a housing association becomes vested in the local authority, then, if at the time of the vesting the house is a house in respect of which a contribution is payable by the Minister under subsection (3) of the said section twenty-nine the Minister may continue to make payments by way of that contribution as if the house had been provided by the local authority.

(3) Where a house which has, with the assistance of the Minister given under section three of the Housing, &c. Act, 1923, been provided by a housing association becomes vested in a local authority then, if at the time of the vesting the house is a house in respect of which a contribution is payable by the Minister under that section, the Minister may pay to the authority any contribution which would have fallen to be made thereunder to the housing association if the house had not become vested in the local authority and if all conditions precedent to the making of that contribution had been fulfilled.

22.—(1) If the Minister is satisfied that a development corporation or housing association have made default in giving effect to the terms of authorised arrangements for providing or converting a building for use as a hostel—

Provisions
with respect
to grants for
hostels.

- (a) he may reduce the amount of the contributions payable to the local authority under section fifteen of this Act, or suspend or discontinue the payment thereof, as he thinks just, and
- (b) the local authority may reduce to a proportionate or less extent the annual grant payable by them to the corporation or association, or may suspend the payment thereof for a corresponding period, or may discontinue the payment thereof, as the case may be.

(2) Where, in pursuance of any agreement or order made under the New Towns Act, 1946, a building provided or converted by a development corporation for use as a hostel, being a building in respect of which a contribution is payable under section fifteen of this Act, is transferred to a local authority—

- (a) no further contributions shall, after the time of the transfer, be payable under that section, but
- (b) the Minister may, if he thinks fit, pay to the local authority sums not exceeding any sums which would, after that time, have become payable by him under that section in respect of the building if all conditions precedent to the payment of the sums had been fulfilled.

(3) Where a building which, under authorised arrangements with a local authority, has been provided or converted by a housing association for use as a hostel becomes vested in the local authority, and at the time of the vesting the building is one in respect of which a contribution is payable under subsection (2) of the said section fifteen—

- (a) no further sums shall, after the time of the vesting, become payable under that subsection, but
- (b) the Minister may, if he thinks fit, pay to the local authority sums not exceeding any sums which would

PART I
—cont.

after that time, have become payable by him under that subsection in respect of the building if all conditions precedent to the payment of the sums had been fulfilled.

*Contributions by county councils for housing provided for
agricultural population*

Payment of
contributions
to councils
of county
districts.

23. Where exchequer subsidies increased under section five of this Act are payable in respect of any house to the council of a county district, the council of the county in which the district is situated shall, subject to the provisions of this Act, pay to the council of the district in respect of that house, for each of the sixty years following the completion of the house an annual contribution of two pounds ten shillings:

Provided that an order by the Minister under section two of this Act may direct that any such contribution shall be reduced to such amount as may be specified in the order.

Reduction or
withdrawal of
county council
contributions.

24.—(1) Where, on the ground that the council of a county district have failed to discharge duties imposed on them by paragraphs (a) or (b) of subsection (1) of section one hundred and fourteen of the principal Act (which relate to the reservation of houses for the agricultural population), the Minister exercises his powers under section eighteen of this Act with respect to an exchequer subsidy increased under section five of this Act or to an annual exchequer contribution under the Housing (Financial and Miscellaneous Provisions) Act, 1946, so that either—

- (a) the amount of the subsidy or contribution payable to the council in respect of a house for any year is reduced, or
- (b) the subsidy or contribution which would otherwise have been payable to the council in respect of a house for any year is not payable,

no county council contribution shall be payable in respect of that house for that year under the last foregoing section or under the said Act of 1946.

(2) Where, on the ground that the council of a county district have failed to discharge the duties imposed on them by paragraph (c) of subsection (1) of section one hundred and fourteen of the principal Act, the Minister so exercises his powers under section eighteen of this Act that either—

- (a) the amount of any contribution under section two of the Housing (Financial Provisions) Act, 1938, payable to the council for any year is reduced, or

PART I
—cont.

(3) Where, on the ground that the council of a county district have failed to discharge a duty imposed upon them by Part V of the principal Act to reserve accommodation for members of the agricultural population or other persons the Minister so exercises his powers under section eighteen of this Act that either—

- the county council shall not be under any liability to make any contribution for that year under section one hundred and fifteen of the Housing Act, 1936.

25.—(1) For the purposes of any agreement under section one hundred and seventeen of the principal Act between a county council and a rural district council as to the exercise by the county council of the powers of the rural district council under Part V of the principal Act, and so far as the agreement extends, the county council shall be deemed to be the district council for the purposes of sections one to ten and fifteen of this Act and, subject to the provisions of any such agreement, any annual exchequer subsidy payable by virtue of paragraph (a) of subsection (2) of section three of this Act shall be payable to that one of the councils by which re-housing accommodation available for displaced persons is provided, notwithstanding that the operations in consequence of which those persons were displaced were initiated or carried out by the other council.

Cases in which exchequer grants are payable to county councils.

Provided that, notwithstanding anything in this Act or in any order made under this Act, the amount or duration of any such payments may be reduced by the Minister at his discretion.

PART I
—cont.

Modification
of agreements
incorporating
references to
rate fund
contributions.

26.—(1) Where arrangements were in force immediately before the first day of April, nineteen hundred and fifty-six, between a local authority and some other local authority, a development corporation or a housing association providing for annual payments in respect of a dwelling by the authority to the other party to the arrangements of an amount determined by reference to the amount of any contribution to be made by a local authority to their Housing Revenue Account under an enactment repealed as from the said day or any corresponding contributions provided for by the enactments for the time being in force with respect to the provision of housing accommodation, then, without prejudice to any variation of those arrangements by the parties thereto,—

- (a) in the case of a dwelling in respect of which payments under the arrangements were on the said day already being made, the arrangements shall be deemed to provide for payments thereunder of the amount being paid before that day; and
- (b) in the case of any other dwelling in respect of which such payments become payable, the amount of those payments shall be the amount equal to one-third of the annual exchequer subsidy payable in respect of the dwelling under this Part of this Act, or eight pounds, whichever is the less.

(2) This section shall not apply to any arrangements made between the London County Council and the Council of a metropolitan borough or the Common Council of the City of London under section one hundred and eighty-three of the principal Act.

Ascertainment
of amount of
certain annual
contributions
under Acts of
1919 and 1923.

27. The provisions of the Third Schedule to this Act shall have effect for the purpose of the determination of the amount of the following contributions which the Minister is required or authorised to make to a local authority—

- (a) contributions payable under section seven of the Housing, Town Planning, &c. Act, 1919, other than contributions in respect of schemes for the provision of houses for persons in the employment of, or paid by, a county council, or a statutory committee thereof;
- (b) contributions payable under subsection (3) of section one of the Housing, &c. Act, 1923.

Time and
manner of
payment of
Government
contributions.

28. Payments to be made by the Minister to a local authority under any enactment in—

- this Act or the principal Act, or
- the Housing, Town Planning, &c. Act, 1919, or
- the Housing, &c. Act, 1923, and the Housing (Financial Provisions) Act, 1924, or

the Housing (Rural Authorities) Act, 1931, or
the Housing Act, 1936, or
the Housing (Financial Provisions) Act, 1938, or
the Housing (Financial and Miscellaneous Provisions) Act,
1946,

PART I
—cont.

shall be payable at such times and in such manner as the Treasury may direct, and subject to such conditions as to records, certificates, audit or otherwise as the Minister may, with the approval of the Treasury, impose.

29.—(1) In this Part of this Act, unless the context otherwise requires— Interpretation
of Part I.

“approved dwelling” means a dwelling approved by the Minister under section one of this Act,

“block of flats” of a given number of storeys means a building containing flats which consists of that number of storeys exclusive of any storey constructed for use for purposes other than those of a dwelling; and for the purposes of this definition a building which consists of a different number of storeys in different parts thereof shall be treated as if each of those parts were a separate building, any question as to the division of any building into such parts, or as to the number of storeys of which any such part consists, or as to the number of flats contained in any such part, being determined by the Minister;

“dwelling” means a building or part of a building occupied or intended to be occupied as a separate dwelling, together with any yard, garden, outhouses and appurtenances belonging to or usually enjoyed with that building or part; so, however, that a building or part which, in the opinion of the Minister, is designed for permanent use as a single dwelling shall be treated as a single dwelling for the purposes of this Part of this Act notwithstanding that it is temporarily divided into two or more parts which are occupied or intended to be occupied as separate dwellings;

“flat” means a separate and self-contained set of premises, whether or not on the same floor, constructed for use for the purposes of a dwelling and forming part of a building from some other part of which it is divided horizontally;

“local authority” means any authority who are a local authority for the purposes of any provision of the principal Act.

PART I
—cont.

(2) In this Part of this Act “ authorised arrangements ” means arrangements between a local authority and a housing association under section one hundred and twenty of the principal Act or between a local authority and a development corporation under the said section one hundred and twenty by virtue of section one hundred and twenty-five of the principal Act and—

(a) references in this Part of this Act to any subsidy or contribution payable in respect of a house provided under authorised arrangements shall be construed as references to a subsidy payable in respect of such a house under section one of this Act or to a contribution payable under section ninety-four of the Housing Act, 1936 (which applies as respects certain houses provided before the commencement of this Act), and

(b) references in this Part of this Act to any annual grant payable in respect of a house provided under authorised arrangements shall be construed as references to any annual grant payable either under section one of this Act or under the said section ninety-four.

PART II**FINANCIAL ASSISTANCE FOR HOUSING ACCOMMODATION
PRIVATELY PROVIDED***Grants by local authorities for improvements*

Power to make
improvement
grants.

30.—(1) Subject to the provisions of this Part of this Act, a local authority may give assistance in respect of—

(a) the provision of dwellings, by a person other than a local authority or county council, by means of the conversion of houses or other buildings,

(b) the improvement of dwellings by such a person, by way of making a grant (hereafter in this Part of this Act referred to as “ an improvement grant ”) in respect of expenses incurred for the purposes of the execution of works of conversion or improvement (hereafter in this Part of this Act referred to as “ improvement works ”) if, before the improvement works are begun, an application in that behalf is made to the authority by that person (hereafter in this Part of this Act referred to as “ the applicant ”) and approved by them.

(2) An application under this section for an improvement grant must contain full particulars of the improvement works proposed to be carried out and of the land on which those works are proposed to be carried out, together with plans and specifications of the works, and before approving the application the local authority shall satisfy themselves as to the requirements set out in the next following section.

(3) Such an application must also contain an estimate of the expenses to be incurred for the purposes of the execution of the said works which, in a case where the application relates to the provision or improvement of more than one dwelling, must specify the proportion of the estimated expenses that is attributable to each dwelling proposed to be provided or improved, and the application shall not be entertained unless—

- (a) in a case where the application relates only to the provision or improvement of a single dwelling, the amount of the expenses estimated to be incurred for the purposes of the execution of the improvement works, or
- (b) in any other case the proportion of those expenses attributable to each dwelling proposed to be provided or improved,

is not less than one hundred pounds or such other amount as may for the time being be prescribed.

(4) It is hereby declared that estimates under the last foregoing subsection as respects improvement works may include the cost of the employment in connection with the works of an architect, engineer, surveyor, land agent or other person in an advisory or supervisory capacity.

(5) Where a local authority approve an application under this section they shall notify the applicant of the amount approved by them as being the amount of the expenses which, in their opinion, are properly ascribable to the execution of the improvement works and, where the application relates to the provision or improvement of more than one dwelling, of the proportion of that amount approved by them as being attributable to each dwelling proposed to be provided or improved.

The said amount is hereafter in this Part of this Act referred to, in relation to improvement works, as the “approved expense” of executing the works, and the proportion of that amount approved under this subsection as being attributable to a dwelling is so referred to, in relation to that dwelling, as the “approved proportion” of the approved expense.

31.—(1) Before approving an application for an improvement grant the local authority shall satisfy themselves—

Requirements
as to nature
of improve-
ments.

- (a) that as respects dwellings to be provided by means of the improvement works the dwellings will provide satisfactory housing accommodation for a period of not less than thirty years from the completion of the works, and
- (b) that as respects dwellings to be improved by means of the improvement works the dwellings so improved will provide such accommodation for a period of not less than thirty years from the completion of the works:

Provided that they may approve the application if satisfied that the period for which the dwellings to be provided or

PART II
—cont.

improved will provide satisfactory housing accommodation is likely to be more than fifteen years and that it is expedient in all the circumstances that the application should be approved.

(2) The local authority shall also satisfy themselves that all such dwellings as aforesaid will conform with such requirements with respect to their construction and physical condition and the provision of services and amenities as may be specified for the purposes of this section by the Minister:

Provided that if, in relation to all or any of the said dwellings, they are not satisfied that the dwellings or dwelling will conform with a particular requirement so specified, they may, notwithstanding that fact, with the consent of the Minister approve the application if they are satisfied that, in all the circumstances of the case, conformity with that requirement would be impracticable.

(3) The local authority shall also satisfy themselves that the applicant has, in every parcel of land on which the improvement works are proposed to be carried out (other than land proposed to be sold or leased to him under subsection (2) of section one hundred and five of the principal Act (which authorises a local authority to dispose of land for the purpose of carrying out works in connection with work on an adjoining house)) an interest constituting either an estate in fee simple absolute in possession or a term of years absolute whereof the period remaining unexpired at the date of the application is not less than—

(a) the period for which the dwellings concerned will provide satisfactory housing accommodation, or

(b) a period of thirty years,

whichever is the shorter.

Amount of
improvement
grants.

32.—(1) The amount which may be paid by way of an improvement grant in respect of expenses incurred for the purposes of the execution of any improvement works—

(a) shall be such fraction of the approved expense of executing those works, not exceeding one-half thereof, as may be determined by the local authority when they approve the application for the grant, but

(b) shall not exceed four hundred pounds, or such other amount as may for the time being be prescribed for each dwelling provided or improved by the works:

Provided that if the local authority, with the concurrence of the Minister, are satisfied in the case of any particular application that in all the circumstances of the case there is good reason for the payment of a higher amount than the amount

PART II
—cont.

authorised under paragraph (b) of this subsection, the amount of the grant to be made in pursuance of the application may be increased (notwithstanding anything in this subsection) by such amount as may be determined by the authority with the consent of the Minister when they approve the application.

(2) An improvement grant in respect of expenses incurred for the purposes of the execution of improvement works may be paid either after completion of the works or partly in instalments from time to time as the works progress and as to the balance after the completion of the works:

Provided that where the grant is to be paid partly in instalments, the aggregate of the instalments paid shall not at any time before the completion of the works exceed one-half of the aggregate cost of the works executed up to that time.

(3) The payment of an improvement grant or of an instalment or the balance thereof shall be conditional upon the works or, as the case may be, the part of the works which the applicant considers will entitle him to payment of the instalment or balance, being executed to the satisfaction of the local authority.

33.—(1) In the case of a dwelling in respect of the provision or improvement of which assistance has been given under the foregoing provisions of this Part of this Act, the conditions set out in the Fourth Schedule to this Act shall, subject to the provisions of this Part of this Act, be observed with respect to the dwelling for the period specified in subsection (2) of this section and shall, so long as they are required to be so observed, be deemed to be part of the terms of any lease, agreement for a lease or tenancy of the dwelling, and shall be enforceable accordingly.

**Conditions to
be observed
with respect
to dwellings.**

(2) The period during which conditions are to be observed is a period of twenty years beginning with the day on which the dwelling first becomes fit for occupation after the completion of the improvement works so, however, that where the local authority approve an application for an improvement grant in respect of a dwelling which in their opinion is not likely to provide satisfactory housing accommodation for more than twenty years from the completion of the works, they may by order direct that in relation to that dwelling it shall be such shorter period as may be specified in the order.

34.—(1) The provisions of this section shall have effect in the Enforcement of conditions. event of a breach of any of the conditions specified in the Fourth Schedule to this Act at a time when they are required to be observed with respect to a dwelling.

Enforcement of conditions.

PART II
—cont.

(2) Where the improvement works by means of which the dwelling was provided or improved were works only for the provision or improvement of that dwelling, the appropriate proportion of any sums paid by the local authority by way of improvement grant in respect of expenses incurred for the purposes of the execution of those works, together, in the case of each such sum, with compound interest on that proportion thereof as from the date of payment of the sum, calculated at the prescribed rate and with yearly rests, shall, on being demanded by the local authority, forthwith become payable to them by the owner for the time being of the dwelling.

(3) Where the said improvement works were works for the provision or improvement of more than one dwelling the appropriate proportion of a part of any such sums as aforesaid bearing to the whole thereof the same proportion that the approved proportion of the approved expense of executing the improvement works bears to the whole of the approved expense of executing those works, together, in the case of each part of a sum, with compound interest on the appropriate proportion thereof as from the date of payment of the sum, calculated at the prescribed rate and with yearly rests, shall become payable as aforesaid.

(4) In the foregoing subsections the expression "the appropriate proportion" in relation to a sum or part of a sum means a part thereof proportionate to the extent to which the period during which conditions are required by section thirty-three of this Act to be observed with respect to the dwelling remains unexpired at the date of the occurrence of the breach.

(5) If the local authority are satisfied that the breach is capable of being remedied, they may, with the consent of the Minister, and subject to such conditions (if any) as he may approve, direct that the operation of the foregoing provisions of this section shall, in relation to the breach, be suspended for such period as appears to them to be necessary for enabling the breach to be remedied and, if the breach is remedied within that period, may direct that the said provisions shall not have effect in relation to the breach.

(6) If the local authority are satisfied that the breach, although not capable of being remedied, was not due to the act, default or connivance of the owner of the dwelling, they may, with the like consent and subject to such conditions as aforesaid, direct that the foregoing provisions of this section shall not have effect in relation to the breach.

(7) Upon satisfaction of a liability of an owner of a dwelling to make a payment under this section to a local authority, observance with respect to the dwelling of the conditions specified in the Fourth Schedule to this Act shall cease to be requisite.

PART II
—cont.
Exchequer
contributions
towards
improvement
grants.

36.—(1) The Minister may make a contribution towards the expense incurred by a local authority in making an improvement grant under the foregoing provisions of this Part of this Act.

(2) A contribution under the foregoing subsection shall be a sum equal to three-quarters of the annual loan charges referable to the amount of the grant, payable annually for the period of twenty financial years beginning with the year in which were completed the improvement works in respect of expenses incurred for the purposes of the execution of which the grant was made:

Provided that an order under section two of this Act may, as respects improvement grants made in pursuance of applications approved by the local authorities after such date as may be specified in the order, reduce the proportion of the said annual loan charges to some other proportion, less than three-quarters but not less than two-thirds.

(3) For the purposes of this section, the annual loan charges referable to the amount of an improvement grant shall (whatever may be the manner in which the local authority have provided or intend to provide the money requisite for making the grant) be the annual sum that, in the opinion of the Minister, would fall to be provided by the local authority for the payment of interest on, and the repayment of, an amount, equal to the amount of the grant of borrowed money the period for the repayment of which is twenty years.

(4) Where the Minister has made a contribution under this section towards the expense incurred by a local authority in giving assistance in respect of the provision or improvement of a dwelling, the authority shall pay to the Minister out of any sum—

- (a) recovered by them by virtue of section thirty-four of this Act in consequence of a breach of conditions required to be observed with respect to the dwelling, or
- (b) paid to them under the last foregoing section in respect of the dwelling,

three-quarters of that sum, and the amount received by the Minister shall be paid into the Exchequer.

(5) Any order under the proviso to subsection (2) of this section for reducing the said proportion of the annual loan charges shall provide for reducing to a corresponding extent, in relation to improvement grants made as mentioned in that proviso, the proportion of any sum required by the last foregoing subsection to be paid to the Minister.

Special
provisions as
to parsonages,
almshouses, &c.

37. Subsection (3) of section thirty-one of this Act shall not apply in relation to—

- (a) an application for an improvement grant in respect of the residence house of an ecclesiastical benefice made, during a period when the benefice is void, by a sequestrator of the profits thereof; or

- (b) an application for such a grant in respect of a building held upon trust for use as an almshouse or as the residence of a minister of any religious denomination made by the trustees exercising the powers of management of the trust estate.

PART II
—cont.

38.—(1) No assistance shall be given under the foregoing provisions of this Part of this Act in respect of the provision of dwellings by means of the conversion of dwellings with respect to which the conditions specified in the Fourth Schedule to this Act are for the time being required to be observed.

Provisions as to further improvement grants.

(2) Where by virtue of the giving on any occasion of assistance under this Part of this Act in respect of the improvement of a dwelling the conditions specified in the Fourth Schedule to this Act fall to be required to be observed with respect to the dwelling before the observance thereof by virtue of the giving of assistance on a previous occasion has ceased to be requisite, the provisions of sections thirty-three to thirty-five of this Act and of subsection (4) of section thirty-six thereof shall apply in relation to the dwelling as regards each occasion on which assistance is so given as if it were the only occasion on which it were so given.

39.—(1) No assistance shall be given under the foregoing provisions of this Part of this Act in respect of the provision of dwellings by means of the conversion of dwellings in relation to which conditions contained in the Housing (Rural Workers) Acts, 1926 to 1942, for the time being apply.

Provisions as to dwellings improved under Housing (Rural Workers) Act, 1926.

(2) Where assistance is given under the said provisions of this Part of this Act in respect of the improvement of a dwelling in relation to which conditions contained in the Housing (Rural Workers) Acts, 1926 to 1942, apply at the time when assistance is so given, those Acts shall have effect in relation to the dwelling as if the conditions specified in the Fourth Schedule to this Act were contained in, and applicable by virtue of, subsection (1) of section three of the Housing (Rural Workers) Act, 1926, in lieu of the conditions specified therein and in section five of the Housing (Rural Workers) Amendment Act, 1938, and anything which would, or would not, constitute for the purposes of this part of this Act a breach of the conditions specified in the said Fourth Schedule to this Act shall be treated as constituting, or, as the case may be, not constituting a breach of those conditions for the purposes of the Housing (Rural Workers) Acts, 1926 to 1942.

40. Where a dwelling in respect of the provision or improvement of which assistance has been given under section thirty of this Act is, at a time when the conditions specified in the Fourth Schedule to this Act are required to be observed with

Provisions as to security of tenure of tenants.

PART II
—cont.

respect to the dwelling, let to a person in consequence of his employment by the lessor, the operation of section three of the Rent and Mortgage Interest Restrictions (Amendment) Act, 1933 (which restricts the right of a landlord to possession of a dwelling), shall not be excluded by reason of the letting being otherwise than at a rent of two-thirds or more of the rateable value of the dwelling.

Local
authorities
authorised to
make improve-
ment grants.

41.—(1) The local authority for the purposes of the foregoing provisions of this Part of this Act as respects England and Wales other than the administrative County of London shall be the council of the borough, urban district or rural district.

(2) As respects the administrative County of London, other than the City of London, both the London County Council and the council of a metropolitan borough shall be local authorities for the said purposes, and as respects the City of London the Common Council shall be the local authority for those purposes.

(3) The council of a county may agree with a council of a non-county borough, urban district or rural district within the county for the exercise by the county council of the powers of the borough or district council under the foregoing provisions of this Part of this Act.

(4) An agreement made under the last foregoing subsection may contain such provisions with regard to the expenses to be incurred by the county council, including the raising of loans to meet those expenses, and such other incidental or consequential provisions as the councils think proper; and for the purposes of any such agreement the county council shall be deemed for the purposes of the foregoing provisions of this Act to be the local authority with whom the agreement is made.

Interpretation
of provisions
with respect
to improve-
ment grants.

42.—(1) In the foregoing provisions of this Part of this Act the expression “owner”, in relation to a dwelling, means the person who is for the time being receiving the rackrent of the dwelling or who, if the dwelling were let at a rackrent, would receive the rackrent of the dwelling:

Provided that if in any case the person who, by virtue of the foregoing definition, would be the owner of a dwelling is a person himself liable to pay a rackrent in respect of the dwelling or of any property comprising the dwelling to a superior landlord, that superior landlord and not the person aforesaid shall be deemed to be the owner of the dwelling for the purposes of the foregoing provisions of this Part of this Act.

For the purposes of this subsection, the expression “rackrent” has the same meaning as in the Public Health Act, 1875.

PART II
—cont.

(2) References in the foregoing provisions of this Part of this Act to the improvement of dwellings shall be construed as including references to the alteration or enlargement thereof and to the execution of works of repair thereto not being works of ordinary repair, and as including also references to the execution of works of ordinary repair thereto so far, but so far only, as the execution thereof is incidental to or connected with the execution of works of improvement, alteration or enlargement or of works of repair not being works of ordinary repair, and in those provisions the expression "improved" shall be construed accordingly.

(3) In determining for the purposes of the foregoing provisions of this Part of this Act whether, as regards a dwelling in respect of the provision or improvement of which assistance has been given under section thirty of this Act, a breach has occurred of the condition required by those provisions to be observed with respect to the dwelling as to the keeping of the dwelling available for letting at a rent not exceeding the maximum rent that may be paid by an occupier of the dwelling or of the condition so required to be observed as to the rent payable by an occupier of the dwelling, any property which, in the absence of express provision, would pass upon a conveyance of the legal estate in fee simple in the dwelling, and any yard, garden, outhouse and appurtenances usually enjoyed with the dwelling, shall be deemed to form part of the dwelling.

Other forms of financial assistance by local authorities

43.—(1) A local authority for the purposes of Part V of the principal Act or a county council may, subject to such conditions as may be approved by the Minister, advance money, subject to the provisions hereinafter contained, to any persons for the purpose of—

Power of local authorities to make advances.

- (a) acquiring houses ;
- (b) constructing houses ;
- (c) converting into houses buildings which have been acquired by those persons or acquiring buildings and converting them into houses ; or
- (d) altering, enlarging, repairing or improving houses ;

whether the houses or buildings are within or without the district of the authority or council.

(2) Before advancing money under this section for the purpose specified in paragraph (a) of the foregoing subsection the local authority or county council shall satisfy themselves that the house or houses to be acquired is or are, or will be made, in all respects fit for human habitation, and before so advancing money for any of the purposes specified in paragraphs (b) to (d) of that subsection the local authority or county council shall

PART II
—cont.

satisfy themselves that the house or houses to be constructed, altered, enlarged, repaired or improved or into which the building or buildings is or are to be converted, as the case may be, will, when the construction, alteration, enlargement, repair, improvement or conversion has been completed, be in all respects so fit.

(3) The following provisions shall have effect with respect to an advance under this section :—

- (a) the advance, together with interest thereon, shall be secured by a mortgage of lands the subject of the carrying out of the purpose for which the advance is made ;
- (b) the amount of the principal of the advance shall not exceed, in the case of a house or houses to be acquired, ninety per cent. of the value of the mortgaged security, and, in any other case, ninety per cent. of the value which it is estimated the mortgaged security will bear when the construction, conversion, alteration, enlargement, repair or improvement has been carried out ;
- (c) the mortgage deed may provide for repayment being made either by instalments of principal or by an annuity of principal and interest combined, so, however, that in the event of any of the conditions subject to which the advance is made not being complied with, the balance for the time being unpaid shall become repayable on demand by the local authority or county council and that the said balance may, in any event, be repaid on one of the usual quarter days by the person for the time being entitled to the equity of redemption after one month's written notice of intention to repay has been given to the local authority or county council ;
- (d) where the advance is for any of the purposes specified in paragraphs (b) to (d) of subsection (1) of this section it may be made by instalments from time to time as the works of construction, conversion, alteration, enlargement, repair or improvement progress ;
- (e) the advance shall not be made except after a valuation duly made on behalf of the local authority or county council ; and
- (f) no advance shall be made on mortgage of lands unless the estate therein proposed to be mortgaged is either an estate in fee simple absolute in possession or an estate for a term of years absolute whereof a period of not less than ten years in excess of the period fixed for the repayment of the advance remains unexpired on the date on which the mortgage is executed.

(4) An advance under this section shall not be made if the estimated value of the fee simple in possession free from incumbrances of the house in respect of which assistance is to be given exceeds five thousand pounds, but such an advance may be made in addition to assistance given by the local authority in respect of the same house under any other Act or any other provision of this Act.

In the case of an advance for the construction of one or more structurally separate and self-contained flats, the estimated value for the purposes of the foregoing limitation shall, as respects any flat, be the estimated value of the flat.

44. A local authority by whom money has been advanced on the mortgage of a house in pursuance of any enactment shall have power, and shall be deemed always to have had power, to accept the deposit by the mortgagor of the sums estimated to be required for the maintenance or repair of the mortgaged premises, and to pay interest on sums so deposited.

Powers of local authorities in connection with advanced money on mortgage.

45.—(1) A local authority for the purposes of Part V of the principal Act or a county council may, in accordance with proposals in that behalf made by them and approved by the Minister, guarantee the repayment to a society incorporated under the Building Societies Acts, 1874 to 1939, or the Industrial and Provident Societies Acts, 1893 to 1954, of any advances, with interest thereon, made by the society to any of its members for the purpose of enabling them to build or acquire houses, whether within or without the district of the authority or council.

Power of local authorities to guarantee repayment of advances by building societies.

(2) Where, upon the submission to the Minister by a local authority or county council of proposals under this section, the Minister is satisfied that the proposed guarantee extends only to the principal of, and interest on, the amount by which the sum to be advanced by the society in question exceeds the sum which would normally be advanced by it without the guarantee of the local authority or county council, and that the liability under the guarantee of the local authority or county council cannot be greater than two-thirds of that principal and interest, the Minister, if he approves the proposals, may, with the consent of the Treasury, undertake to reimburse to the local authority or county council out of moneys provided by Parliament not more than one-half of any loss sustained by them under the terms of the guarantee.

(3) Subsection (4) of section forty-three of this Act shall apply to guarantees given under this section with the substitution for references to advances made of references to guarantees given.

PART II
—cont.*Miscellaneous and general*

Exchequer
contributions
for agricultural
housing
accommoda-
tion.

46.—(1) Where the council of a county district are satisfied that in any particular case housing accommodation required for members of the agricultural population of the district could more conveniently be provided by some person other than the council, they may, subject to any conditions imposed by the Minister, make arrangements for the provision of such accommodation by that person; and if the Minister is satisfied that the arrangements are such as to secure that any house provided in pursuance thereof—

(a) is reserved for members of the agricultural population, and

(b) if let, is let at a rent not exceeding the limit imposed by section twenty of the Rent Act, 1957, and

(c) is suitable in respect of its size and construction,

then, subject to the conditions set out in the following provisions of this section, the Minister may undertake to make, and may make, in respect of each new house which, with his approval, is provided in pursuance of the arrangements, payment to that council of an annual contribution of such amount not exceeding ten pounds as the Minister may determine, being a contribution payable for a period of forty years; and in that event the council shall pay by way of annual grant to the owner of the house an amount not less than the contribution paid by the Minister.

(2) It shall be a condition of the payment under this section of a contribution in respect of any house in any year—

(a) that the conditions specified in paragraphs (a) and (b) of the foregoing subsection are observed in relation to that house throughout that year, and

(b) that the council of the county district certify to the Minister that all reasonable steps have been taken to secure the maintenance of that house in a proper state of repair during that year.

(3) In the case of a house completed on or after the eighteenth day of April, nineteen hundred and forty-six, it shall also be a condition of the payment under this section of a contribution in respect of any house for any year during which the house is at any time occupied by a member of the agricultural population in pursuance of a contract of service and otherwise than as a tenant that if the contract of service is determined—

(a) by less than four weeks' notice given by the employer, or

- (b) by dismissal of the employee without notice, or
- (c) by the death of either party,

the employer or his personal representative will permit the employee (or, in the case of his death, any person residing with him at his death) to continue to occupy the house free of charge from the determination of the contract until the expiration of a period of four weeks beginning with the date on which the notice is given or, if the contract is determined otherwise than by notice, with the date on which it is determined.

(4) No annual grant shall be made under this section by the council to the owner of a house, if before the making of the grant the Minister is satisfied that, during the whole or the greater part of the period to which the payment of the grant is referable, the house has not been available as a dwelling fit for habitation, and where the duty of the council to make a grant is wholly or partly discharged by virtue of this subsection the Minister shall make such consequential reductions as he thinks fit in any sum payable by him to the council :

Provided that this subsection shall not apply if the Minister is satisfied that the house could not with reasonable diligence have been made available, during the whole or the greater part of the period for which the payment is referable, as a dwelling fit for habitation.

Any question as to the period to which any payment is referable shall be determined for the purposes of this subsection by the Minister.

(5) Where a house which has been provided under arrangements under this section becomes vested in the council making the arrangements—

- (a) no further sums shall, after the time of the vesting, become payable by the Minister or by the council in respect of the house under subsection (1) of this section, and

- (b) whether the conditions specified in this section are observed or not, the Minister may, if he thinks fit, pay to the council a sum equivalent to any contribution which would, after the said time, have become payable by him to the authority in respect of the house if all conditions precedent to the payment of that contribution had been at all material times observed.

(6) Where a house provided under arrangements made in pursuance of this section is let together with other land at a single rent, such proportion of that rent as the council of the county district may determine shall be deemed, for the purpose of paragraph (b) of subsection (1) of this section, to be the rent at which the house is let.

PART II
—cont.

Loans
by Public
Works Loan
Commissioners
to companies,
housing
associations
and
individuals.

47.—(1) The Public Works Loan Commissioners may, subject to the provisions of this section, lend money to any such person as is hereafter mentioned for the purpose of constructing or improving, or facilitating or encouraging the construction or improvement of, houses and, in the case of a housing association,—

(a) for the purchase of houses which the association desire to purchase with a view to the improvement thereof, and
(b) for the purchase and development of land,
and any such person may borrow from the Public Works Loan Commissioners such money as may be required for the purposes aforesaid.

(2) The persons to whom money may be so lent and who may so borrow are—

- (a) any railway company or dock or harbour company,
- (b) any housing association,
- (c) any company, society or association (not being a housing association) established for the purpose of constructing or improving, or of facilitating or encouraging the construction or improvement of, houses for the working classes, or for trading or manufacturing purposes, in the course of whose business, or in the discharge of whose duties, persons of the working classes are employed, and
- (d) any person entitled to any land for an estate in fee simple absolute in possession, or for any term of years absolute whereof not less than fifty years for the time being remain unexpired.

(3) A loan for any of the purposes specified in subsection (1) of this section shall be secured with interest thereon by mortgage of the land and houses in respect of which that purpose is to be carried out, and of such other lands and houses, if any, as may be offered as security for the loan.

(4) Any such loan may be made whether the borrower has or has not power to borrow independently of this Act ; but nothing in this section shall affect any regulation, statutory or otherwise, whereby any company may be restricted from borrowing until a definite portion of capital is subscribed for, taken, or paid up.

(5) The following conditions shall apply in the case of any such loan—

- (a) the period for repayment shall not exceed forty years ;
- (b) no money shall be lent on mortgage of any land or houses, unless the estate therein proposed to be mortgaged is either an estate in fee simple absolute in possession or an estate for a term of years absolute whereof not less than fifty years are unexpired at the date of the loan ;

- (c) the money lent shall not exceed such proportion as is hereinafter authorised of the value, to be ascertained to the satisfaction of the Public Works Loan Commissioners, of the estate or interest in the land or houses proposed to be mortgaged in pursuance of subsection (3) of this section, but loans may be made by instalments from time to time as the building of houses or other work on land so mortgaged progresses, so, however, that the total amount lent does not at any time exceed the amount aforesaid; and a mortgage may be accordingly made to secure such loans so to be made from time to time:

Provided that, where a loan is made under this section to a housing association for the purpose of carrying out a scheme for the provision of houses approved by the Minister,—

- (i) the maximum period for the repayment of the loan shall be fifty instead of forty years;
- (ii) money may be lent on the mortgage of an estate for a term of years absolute whereof a period not less than ten years in excess of the period fixed for the repayment of the sums advanced remains unexpired at the date of the loan.

- (6) The proportion of such value as aforesaid authorised for the purpose of the loan shall be three-fourths:

Provided that—

- (a) if the loan is to be made to a housing association and payment of the principal of and interest on the loan is guaranteed by a local authority for the purposes of Part V of the principal Act, or by a county council, the said proportion shall be nine-tenths;
- (b) in any other case, if the loan exceeds two-thirds of such value as aforesaid, the Public Works Loan Commissioners shall require, in addition to such a mortgage as is mentioned in subsection (3) of this section, such further security as they may think fit.

(7) Any loan made by the Public Works Loan Commissioners in pursuance of this section, or to borrowers other than local authorities for the provision of labourers' dwellings under the Public Works Loans Act, 1875, or any Act amending that Act, shall bear interest at such rate as the Treasury may from time to time authorise as being in their opinion sufficient to enable the loan to be made without loss to the Exchequer.

(8) For the purpose of constructing or improving, or facilitating or encouraging the construction or improvement of, houses, every such company, association or society as aforesaid is hereby authorised to purchase, take and hold land, and if not already

PART II
—cont.

a body corporate shall, for the purpose of holding land acquired under this section and of suing and being sued in respect thereof, be nevertheless deemed a body corporate with perpetual succession.

(9) A housing association shall have power, notwithstanding anything in its rules or constitution prohibiting the payment of any interest on loan capital at a rate exceeding six per cent. per annum, to raise money on loan at a rate of interest not exceeding the rate of interest for the time being prescribed by the Treasury for the purposes of this section with respect to housing associations.

Provisions
with respect
to grants
under s. 2 of
the Act of
1923.

48.—(1) If in the case of a house—

- (a) the construction of which was promoted by a local authority in accordance with section two of the Housing, &c. Act, 1923, and
- (b) in respect of which contributions are payable by the Minister under the Housing (Financial Provisions) Act, 1924,

the Minister is satisfied that any of the special conditions set out in paragraph 1 of the Second Schedule to this Act has not been complied with, any contribution payable in respect of the house may be discontinued or the amount thereof may be reduced, and the duration thereof may be curtailed, as the Minister thinks just.

(2) No annual sum shall be payable by a local authority by way of assistance under section two of the Housing, &c. Act, 1923, in respect of a house if, before the payment is made, the Minister is satisfied that, during the whole or the greater part of the period to which the payment is referable, the house has not been available as a dwelling fit for habitation and where the duty of a local authority to make a payment is wholly or partly discharged by virtue of this subsection, the Minister may make such consequential reductions as he thinks appropriate in any sum payable by him to the local authority:

Provided that this subsection shall not apply if the Minister is satisfied that the house could not with reasonable diligence have been made available, during the whole or the greater part of the period to which the grant is referable, as a dwelling fit for habitation.

Any question under this subsection as to the period to which any payment is referable shall be determined by the Minister.

(3) Where a house which has, with the assistance of a local authority given under section two of the Housing, &c. Act, 1923, been provided by some person other than a local authority, becomes vested in the local authority then, if at the time of the vesting the house is a house in respect of which a contribution

is payable by the Minister under section one of that Act, the Minister may continue to make payments by way of that contribution as if the house had been provided by the local authority.

PART II
—cont.

49.—(1) The Minister may by statutory instrument make, with the consent of the Treasury, regulations prescribing any thing required or authorised by this Part of this Act to be prescribed. Minister's power to make regulations.

(2) A statutory instrument under this section shall be subject to annulment in pursuance of a resolution of either House of Parliament.

PART III

HOUSING ACCOUNTS TO BE KEPT BY LOCAL AUTHORITIES

50.—(1) Every local authority for the purposes of Part V of the principal Act shall keep an account (to be called the Housing Revenue Account) of the income and expenditure of the authority in respect of— The Housing Revenue Account.

- (a) all houses and other buildings which at any time after the sixth day of February, nineteen hundred and nineteen, have been provided by a local authority under the said Part V,
- (b) all houses approved by the Minister for the purposes of section thirteen of this Act and all houses purchased by a local authority under section twelve of the principal Act,
- (c) all dwellings provided or improved by a local authority in accordance with improvement proposals approved by the Minister under section nine of this Act,
- (d) all dwellings in respect of which—
 - (i) the authority have received assistance under section one of the Housing (Rural Workers) Act, 1926 ; or
 - (ii) the Minister has undertaken to pay a contribution to the authority under subsection (2A) of section four of that Act,
- (e) such other houses as the authority with the consent of the Minister may from time to time determine,
- (f) all land which at any time after the sixth day of February, nineteen hundred and nineteen, a local authority have acquired or appropriated for the purposes of Part V of the principal Act, or are deemed to have acquired under the said Part V by virtue of subsection (6) of section fifty-seven of that Act.

PART III
—cont.

(2) Where a house is for the time being vested in a local authority by reason of the default of any person in carrying out the terms of any arrangements under which assistance in respect of the provision, reconstruction or improvement of the house has been given under any enactment relating to housing, the house shall be deemed for the purposes of this section to be a house which has been provided by the authority under Part V of the principal Act.

(3) A building provided or converted for use as a hostel and approved for the purposes of section fifteen of this Act shall not be included among the buildings to which the requirements in subsection (1) of this section relate unless the Minister on being satisfied that the building has ceased to be used for a hostel so directs.

(4) A local authority not possessing any property falling within subsection (1) of this section shall, notwithstanding that, be required to keep a Housing Revenue Account if they are entitled to receive any income arising from an investment or other use of money borrowed by them for the purpose of—

- (a) the provision of housing accommodation under Part V of the principal Act, or
- (b) the purchase by them of, or carrying out of works on, any houses approved by the Minister for the purposes of section thirteen of this Act or purchased under section twelve of the principal Act, or
- (c) the execution of works in respect of which the Minister has undertaken to make a contribution under subsection (2A) of section four of the Housing (Rural Workers) Act, 1926 or in respect of which the local authority for the purposes of that Act have given assistance thereunder.

(5) The provisions of the Fifth Schedule to this Act shall have effect as respects the keeping of the Housing Revenue Account and in that Schedule the expression “houses and other property within the account” means houses, dwellings, buildings and land falling within subsection (1) of this section.

The Housing
Repairs
Account.

51.—(1) Subject to the provisions of this section, every local authority who are required to keep a Housing Revenue Account shall, for the purpose of equalising so far as practicable the annual charge to their revenue in respect of the repair and maintenance of houses, buildings and dwellings in respect of which that account is to be kept, keep an account (to be called “the Housing Repairs Account”) and shall in each financial year carry to the credit of that account from the Housing Revenue Account in respect of each house, building and dwelling such

amount as they may think proper, not being less than eight pounds and such amount, if any, as may be necessary to make good any deficit shown in the Housing Repairs Account at the end of the last preceding financial year.

(2) Subject to the provisions of this Act, moneys standing to the credit of the Housing Repairs Account shall be applied only in meeting expenses incurred in respect of the repair and maintenance of the houses, buildings and dwellings in respect of which the Housing Revenue Account is to be kept.

(3) If at any time it appears to the Minister, after consultation with the local authority, that the moneys standing to the credit of a Housing Repairs Account are more than sufficient for the purposes for which the account is to be kept, or that it is no longer necessary for the account to be kept, he may give such directions as he thinks proper for the reduction of the amounts to be credited to the account or the suspension of the carrying of credits thereto, or for the closing of the account and the application of any moneys standing to the credit thereof, as the case may be.

52.—(1) Every local authority who are required to keep a Housing Revenue Account shall, if they think it desirable for the purpose of equalising the income of the Housing Revenue Account derived from exchequer payments and contributions from other local authorities over any period during which loan charges required to be debited to that account will be payable, keep an account (to be called "the Housing Equalisation Account") and shall, if they keep such an account, carry to the credit of that account from the Housing Revenue Account such sums, and shall apply an amount equal to the sums so credited in such manner, as may be prescribed.

Power to keep
Housing
Equalisation
Account.

(2) Where a local authority close their Housing Equalisation Account, they shall carry to the credit of their Housing Revenue Account any sums standing to the credit of their Housing Equalisation Account when it is closed.

(3) In this section "prescribed" means prescribed by regulations made by the Minister by statutory instrument which shall be subject to annulment in pursuance of a resolution of either House of Parliament.

53.—(1) An amount equal to any moneys standing to the credit of the Housing Repairs Account or the Housing Equalisation Account of a local authority, and not for the time being required for the purposes for which they will ultimately be applicable, may be used by the authority for the purpose of any statutory borrowing power possessed by them subject to the conditions specified in subsection (2) of this section, and so far

Temporary
application
of moneys in
housing
accounts.

PART III
—cont.

as not so used shall be invested temporarily in statutory securities (other than securities created by the authority) and an amount equal to any income arising from such investment shall be credited to the account.

(2) The conditions subject to which moneys may be used as mentioned in subsection (1) of this section shall be—

- (a) the moneys so used shall be repaid to the account out of the general rate fund within the period, and by the methods, within and by which a loan raised under the statutory borrowing power would be repayable:

Provided that the authority shall repay to the account the moneys so used or the balance thereof for the time being outstanding, as the case may be, as and when required for the purposes of the account, and may make such repayment at any time within the period aforesaid, and in either case the repayment shall be made out of the general rate fund or out of moneys which would have been applicable to the repayment of a loan if raised under the statutory borrowing power;

- (b) in the accounts of the general rate fund an amount equal to interest (calculated at such rate as may be determined by the authority to be equal as nearly as may be to the rate of interest which would be payable on a loan raised on mortgage under the statutory borrowing power) on any moneys so used and for the time being not repaid shall be credited to the account and debited to the undertaking or purpose with reference to which the moneys are so used;

- (c) the statutory borrowing power shall be deemed to be exercised by such use as fully in all respects as if a loan for the same amount had been raised in exercise of the power, and the provisions of any enactment as to the reborrowing of sums raised under the statutory borrowing power shall apply accordingly.

(3) In this section “statutory security” has the meaning assigned to it by Part IX of the Local Government Act, 1933.

PART IV

GENERAL

Power
of local
authorities to
borrow for
purposes of
Act.

54.—(1) A local authority or a county council may borrow for any of the purposes of this Act other than for making annual grants to development corporations or housing associations under section one of this Act.

(2) Money borrowed under this Part of this Act by the London County Council may be borrowed in manner provided by the London County Council (Loans) Act, 1955.

(3) The maximum period which may be sanctioned as the period for which money may be borrowed by the London County Council or the Common Council of the City of London for the purposes of this Act shall, notwithstanding the provisions of any Act of Parliament, be eighty years, and in the proviso to subsection (1) of section one hundred and thirty-four of the London Government Act, 1939 (which, as amended by the principal Act, provides that the term for the repayment of sums borrowed by metropolitan borough councils under the principal Act may be up to eighty years), the reference to the purposes of the principal Act shall include a reference to the purposes of this Act.

(4) Where a loan is made by the Public Works Loan Commissioners to a local authority for the purposes of this Act or to a county council for the purposes of section forty-three or forty-five of this Act—

- (a) the loan shall be made at the minimum rate allowed for loans out of the Local Loans Fund applicable to the period for which the loan is made, and
- (b) the period for which the loan is made may exceed the period allowed under any enactment limiting the period for which loans may be made by the Commissioners, but shall not exceed eighty years.

(5) The provisions of sections one hundred and thirty-eight and one hundred and forty of the principal Act (which relate to the issue of housing bonds and the lending by county councils of money to local authorities within their area) shall apply as if references therein to the purposes of that Act included references to the purposes of this Act.

55.—(1) The following provisions of the principal Act—

- (a) section one hundred and fifty-six (which relates to the reference of housing matters to a local authority's committees),
- (b) sections one hundred and seventy-one to one hundred and seventy-six (which relate to powers exercisable on the default of a local authority), and
- (c) subsection (1) of section one hundred and eighty-seven (which relates to the reference of housing matters to the committees of the common council of the City of London)

shall apply as if references therein to that Act included references to this Act.

Application of
provisions of
principal Act.

PART IV
—cont.

(2) Subsection (1) of section one hundred and eighty-one and section one hundred and eighty-two of the principal Act (which relate to the powers exercisable by the Minister) shall apply as if references therein to that Act included references to Part III of this Act.

**Payments out
of Exchequer.**

56. Any payment required or authorised to be made by the Minister under this Act, but excluding any sum payable as a loan under section seventeen of this Act, shall be made out of moneys provided by Parliament.

**Application
to Scilly
Isles.**

57.—(1) The Minister shall have power, exercisable by statutory instrument, to make an order directing that the provisions of this Act specified in subsection (3) of this section shall, subject to such exceptions, adaptations and modifications as may be specified in the order, extend to the Isles of Scilly, but except as so extended, those provisions shall not extend to the Isles of Scilly.

(2) The power conferred by this section to make an order shall be construed as including a power exercisable in the like manner to vary or revoke the order.

(3) The said provisions of this Act are—

sections nine to twelve,

sections fourteen and fifteen,

section twenty-two,

the provisions of Part II except sections forty-six and forty-seven.

Interpretation.

58.—(1) In this Act, unless the context otherwise requires—

“agricultural population” has the same meaning as in section one hundred and fourteen of the principal Act;

“development corporation” has the same meaning as in the principal Act except that in sections eleven, fourteen and fifteen of this Act it does not include a development corporation established by an order under section sixteen of the New Towns Act, 1946 (which relates to orders for the combination and transfer of functions of development corporations);

“general rate fund” in relation to the London County Council means the county fund;

“house” includes any yard, garden, outhouses and appurtenances belonging thereto or usually enjoyed therewith, and any part of a building which is occupied or intended to be occupied as a separate dwelling including, in particular, a flat ;

“housing association” and “housing trust” have the same meaning as in the principal Act ;

“loan charges” means, in relation to any borrowed moneys, the sums required for the payment of interest on those moneys and for the repayment thereof either by instalments or by means of a sinking fund ;

“the Minister” means the Minister of Housing and Local Government ;

“the principal Act” means the Housing Act, 1957.

(2) In this Act “exchequer payment” means any payment which the Minister is required or authorised to make to a local authority under—

section seven of the Housing, Town Planning, &c. Act, 1919 ;

paragraph (b) of subsection (1) of section one of the Housing, &c. Act, 1923 (as originally enacted) ;

paragraph (b) of subsection (1) of section one of the Housing, &c. Act, 1923 (as amended by sections one and two of the Housing (Financial Provisions) Act, 1924) ;

subsection (3) of section one of the Housing, &c. Act, 1923 ;

subsection (2A) of section four of the Housing (Rural Workers) Act, 1926 ;

section one of the Housing (Rural Authorities) Act, 1931 ;

sections one hundred and five to one hundred and eight of the Housing Act, 1936 ;

sections one and two of the Housing (Financial Provisions) Act, 1938 ;

the provisions of the Housing (Financial and Miscellaneous Provisions) Act, 1946, with respect to annual exchequer payments within the meaning of that Act ;

section eleven of the Requisitioned Houses and Housing (Amendment) Act, 1955 ;

PART IV
—cont.

paragraph (a) of subsection (2) of section one of this Act,
section nine of this Act,
section thirteen of this Act,
section sixteen of this Act,
section twenty-one of this Act,
subsection (5) of section forty-six of this Act,
subsection (3) of section forty-eight of this Act.

(3) Section four of the principal Act (which prescribes the standard by which houses are judged fit for human habitation for the purposes of that Act) shall apply as if references therein to that Act included references to this Act.

(4) Save where the context otherwise requires, references in this Act to any enactment shall be construed as references to that enactment as amended by or under any other enactment.

**Repeals and
savings.**

59.—(1) The enactments and instruments set out in the Sixth Schedule to this Act shall be repealed to the extent specified in the third column of that Schedule.

(2) The repeal by this section of any enactment shall not affect—

- (a) any regulation, rule, order or other instrument made or having effect as if made under that enactment, or
- (b) any agreement, application, approval, condition, determination, undertaking or other thing made, given, imposed or done, or having effect as if made, given, imposed or done, under that enactment,

and any such instrument (not being an instrument itself revoked by this section) or other thing shall, if in force at the commencement of this Act, continue in force and so far as it could have been made, given, imposed or done under this Act, have effect as if made, given, imposed or done under the corresponding provision of this Act.

(3) The repeal by this section of any enactment re-enacted in this Act shall not affect any existing undertaking or other liability to make a periodical or other payment after the commencement of this Act, and the provisions of this Act shall apply so as to require that payment to be made under the corresponding provision of this Act.

(4) The repeals made by this section shall not affect any liability to make a payment in respect of housing accommodation provided before the commencement of this Act under any of the enactments specified in this subsection (all of which had ceased to have effect at some time before the commencement of this Act except so far as they required or authorised the making of payments in respect of housing accommodation which had already been provided before that time).

The said enactments are—

sections one and three of the Housing, &c. Act, 1923 ;

subsection (5) of section two of the Housing (Financial Provisions) Act, 1924 ;

section one of the Housing (Rural Authorities) Act, 1931 ;

sections ninety-four, one hundred and five to one hundred and eight, and one hundred and fifteen of the Housing Act, 1936 ;

sections one, two, seven and nine of the Housing (Financial Provisions) Act, 1938 ;

the provisions of the Housing (Financial and Miscellaneous Provisions) Act, 1946, as to annual exchequer contributions and section eight of that Act as it applies to county council contributions for houses in respect of which annual exchequer contributions are payable ;

subsection (2) of section eight of the New Towns Act, 1946.

(5) Section ninety-one of the Housing Act, 1936 (which authorised local authorities to give undertakings for the purpose of increasing housing accommodation), and section one hundred and ten of that Act (which authorised the Minister to contribute to losses sustained by local authorities giving such undertakings) shall continue to apply as respects undertakings given before the commencement of the Housing Act, 1949.

(6) The provisions of Part VI of the principal Act relating to borrowing shall apply as if the said section ninety-one of the Housing Act, 1936, were contained in Part V of the principal Act and for the purposes of so much of the said Part VI as authorises county councils to borrow for the purposes of that Act section one hundred and fifteen of the Housing Act, 1936, and section seven of the Housing (Financial Provisions) Act, 1938, shall be treated as included in the principal Act.

(7) Any Act or other document referring to any enactment repealed by this Act, the Housing Act, 1936, or the Housing Act, 1925, shall, so far as may be necessary to preserve the effect of that document, be construed as referring to the corresponding provision of this Act.

PART IV
—*cont.*

Construction
of references
to this Act
and to
enactments
repealed.

60. Without prejudice to subsection (2) of the last foregoing section, any reference in any provision of this Act to, or to things done or falling to be done under, any provision of this Act or the principal Act shall, in so far as the context permits, be construed as including, in relation to times, circumstances and purposes in relation to which the corresponding provision in the enactments repealed by this Act, by the principal Act, by the Housing Act, 1936, or by the Housing Act, 1925, had effect, a reference to, or to things done or falling to be done under, that corresponding provision.

Short title,
extent and
commence-
ment.

61.—(1) This Act may be cited as the Housing (Financial Provisions) Act, 1958.

(2) This Act shall not extend to Scotland or Northern Ireland.

(3) This Act shall come into force at the expiration of a period of three months beginning with the date on which it is passed.

SCHEDULES

FIRST SCHEDULE

Section 7.

PROVISIONS FOR ASCERTAINING THE VALUE OF CERTAIN SITES

1. For the purposes of section seven of this Act, the cost of a site as developed shall be taken to be—

- (a) in the case of a site purchased by a local authority under any enactment relating to housing, the expenditure incurred by the local authority in purchasing the site ; and
- (b) in any other case the value of the site as certified by the Minister,

plus, in either case, a sum representing—

- (i) any such expenses as in the opinion of the Minister have been or will be properly incurred for making the site suitable for the purpose of providing the buildings erected or to be erected thereon, being expenses incurred or to be incurred by the local authority, development corporation or housing association providing those buildings for the construction or widening of streets, the construction of sewers, or the execution of any special works rendered necessary by the physical characteristics of the land ; and
- (ii) any such expenses which have been, or in the opinion of the Minister will be, incurred in respect of other matters as the Minister, with the consent of the Treasury, may determine to be expenses properly forming part of the cost of making the site suitable for the said purpose.

2. In determining for the purposes of the foregoing paragraph the amount of any such expenses as are therein mentioned, the Minister shall have regard to any estimate of those expenses submitted to him by the local authority, development corporation or housing association, as the case may be ; and for the purposes of sub-paragraph (b) of that paragraph, the value certified in the case of a site in relation to which any such expenses have been incurred shall be the value of that site in the condition in which it would be if those expenses had not been incurred.

3. For the purposes of the said section seven and of this Schedule, any question—

- (a) as to what constitutes a separate site ; or
- (b) as to the portion of such a site on which any building has been erected ; or
- (c) as to how much of any expenditure incurred by a local authority in purchasing land is to be attributed to any site forming part only of that land,

shall be determined by the Minister.

1st SCH.
—cont.

4. For the purposes of any determination under sub-paragraph (a) or (b) of the last foregoing paragraph—

(a) where two buildings are contiguous to each other, or are separated from each other by a street only, the two buildings shall, if the Minister thinks proper, be deemed to be on the same site; and

(b) where any land has been purchased in connection with the provision of a building and has been or is to be used for the purpose of a new street to which the building is or will be contiguous, that land shall be deemed to form part of the site of the building.

5. For the purposes of the last foregoing paragraph—

(a) the expression “building” includes any land appertaining to a building and any land appropriated for the purposes of a building which has not been erected; and

(b) the expression “street” includes any court, alley, passage or square, whether a thoroughfare or not, and includes a public highway.

Sections 20, 48.

SECOND SCHEDULE

CONDITIONS ATTACHING TO CERTAIN EXCHEQUER CONTRIBUTIONS UNDER ACTS OF 1924 AND 1930

1. The special conditions applying to houses in respect of which contributions are payable by the Minister under the Housing (Financial Provisions) Act, 1924, being houses which were provided by a housing association or the construction of which was promoted by a local authority under section two of the Housing, &c. Act, 1923, are—

(a) that the houses shall be let for occupation to tenants who intend to reside therein;

(b) that it shall be a term of every such letting that the tenant shall not assign, sub-let or otherwise part with the possession of the house, or any part thereof, except with the consent in writing of the housing association (in the case of houses provided by them) or of the local authority or some person authorised by them in that behalf (in the case of the other houses), and that such consent shall not be given unless it is shown that no payment other than rent has been or is to be received by the tenant in consideration of the assignment, sub-letting or other transaction;

(c) that no house shall be sold or (save by such lettings as aforesaid) otherwise disposed of except with the consent of the Minister, which may be absolute or subject to such reasonable stipulations as the Minister thinks proper, including, if the Minister thinks fit, stipulations for the reduction of the amount or the curtailment of the duration of any contribution payable by the Minister in respect of the house, or for both reduction and curtailment;

- (d) that the rent charged in respect of any house shall not exceed the limit imposed by section twenty of the Rent Act, 1957, and that no fine, premium or other like sum shall be taken in addition to the rent.

2ND SCH.
—cont.

2.—(1) The special conditions applying to houses in respect of which contributions are payable by the Minister under section twenty-nine of the Housing Act, 1930 (which related to houses provided by a housing association) are—

- (a) that the houses shall be let for occupation to tenants who intend to reside therein ;

- (b) that it shall be a term of every such letting that the tenant shall not assign, sub-let or otherwise part with the possession of the house, or any part thereof, except with the consent in writing of the housing association or some person authorised by them in that behalf, and that such consent shall not be given unless it is shown to the satisfaction of the association that no payment other than a rent which is in their opinion a reasonable rent has been or is to be received by the tenant in consideration of the assignment, sub-letting or other transaction ;

- (c) that the total amount of the rents payable in respect of the houses in any year, after deducting the amount of any rebates granted to tenants, shall not exceed an amount ascertained by deducting from the estimated average annual expenses incurred in connection with the provision and maintenance of the houses (calculated by reference to a period of sixty years)—

(i) the annual equivalent (calculated in the like manner) of the contributions payable by the Minister towards the expenses, and

(ii) the annual equivalent (calculated in the like manner) of a sum of three pounds fifteen shillings per house deemed to be provided annually for a period of forty years ;

- (d) that no fine, premium or other like sum shall be taken in addition to the rent.

(2) In the case of a new house intended for occupation as a lodging house, the special conditions shall be such as the Minister may in any particular case consider it necessary to impose.

THIRD SCHEDULE

Section 27.

DETERMINATION OF AMOUNT OF CERTAIN CONTRIBUTIONS UNDER ACTS OF 1919 AND 1923

Preliminary

1. For the purposes of this Schedule—

- (a) a scheme under the Act of 1919 means a scheme to which section seven of the Housing, Town Planning, &c. Act, 1919 (hereinafter referred to as “the Act of 1919”), applies, other than a scheme for the provision of houses for persons in the employment of, or paid by, a county council or a statutory committee thereof ;

3RD SCH.
—cont.

- (b) all schemes and parts of schemes under the Act of 1919 which for the time being are administered by a local authority shall be deemed to be a single scheme carried out by the authority.

Contributions under Act of 1919

2.—(1) Notwithstanding anything in any enactment, the amount of the exchequer contribution for any financial year under section seven of the Act of 1919 towards the loss resulting from the carrying out of a scheme under the Act of 1919 by a local authority other than the London County Council and other than a metropolitan borough council, shall be the amount, if any, by which the estimated loss for that year in respect of the scheme exceeds the amount equal to the produce of a rate of one penny in the pound for that year levied in the area chargeable with the expenses of the scheme.

(2) Notwithstanding anything in any enactment, the amount of the said exchequer contribution towards the loss resulting from the carrying out of the scheme under the Act of 1919 by the London County Council shall be the amount, if any, by which the aggregate of—

- (a) the estimated loss for that year in respect of the carrying out of any such scheme by the London County Council, and
(b) the amount of the sums payable by the London County Council to metropolitan boroughs under the following provisions of this paragraph for that year,

exceeds an amount equal to the produce of a rate of one penny in the pound for that year levied in the administrative county of London other than the City of London.

(3) Notwithstanding anything in any enactment, no such exchequer contribution shall be payable to a metropolitan borough council but the London County Council shall pay to the council of a metropolitan borough for each financial year an amount equal to the estimated loss, if any, which may be incurred for that year by the metropolitan borough council in carrying out a scheme under the Act of 1919.

Contributions under s. 1 (3) of Act of 1923

3. Notwithstanding anything in any enactment, the amount of the exchequer contribution for any financial year under subsection (3) of section one of the Housing, &c. Act, 1923, towards the expenses incurred by a local authority in carrying out a scheme to which that subsection applies shall be an amount equal to one half of the estimated loss for that year incurred in carrying out the scheme.

Ascertainment of estimated loss, etc.

4. The following provisions shall apply in determining the amount of any contribution under the foregoing paragraphs of this Schedule:

Provided that in their application for the purpose of the determination of contributions under subsection (3) of section one of

the Housing, &c. Act, 1923, they shall have effect subject to such modifications as the Minister with the approval of the Treasury may determine to be necessary having regard to the date of the completion of the operations or expedient in all the circumstances.

3RD SCH.
—cont.

5. The estimated loss for any financial year shall be the amount by which the estimated expenditure for that year in respect of the scheme exceeds the estimated income for that year.

6. The estimated income for any financial year shall be the sum of the estimated annual rent income (that is to say an amount equal to the aggregate weekly rents of the houses provided or acquired by the authority under the scheme which, as at the thirty-first day of March, nineteen hundred and thirty-five, were accepted by the Minister for the purpose of the determination of the exchequer contribution payable in respect of the scheme, multiplied by fifty-two and one-sixth) and any other items of income which, in the opinion of the Minister, may properly be taken into account.

7. The estimated expenditure for any financial year shall be determined in the following manner:—

(1) There shall be ascertained—

(a) the aggregate amount of the charges during the five years ending on the thirty-first day of March, nineteen hundred and thirty-five, in respect of supervision and management, repairs, unoccupied houses and irrecoverable rents, accepted by the Minister for the purpose of the determination of the exchequer contribution payable in respect of the scheme, exclusive of expenditure, if any, incurred during the said five years on repairs of an abnormal and non-recurring nature and of sums, if any, written off during the said five years in respect of arrears of rents which had occurred in exceptional circumstances ;

(b) the aggregate amount of the gross estimated rent income during the five years ending on the thirty-first day of March, nineteen hundred and thirty-five, as accepted by the Minister for the purpose of the determination of the exchequer contribution payable in respect of the scheme ;

(c) the aggregate of, first, the amount which bears the same proportion to the estimated annual rent income as the amount ascertained under head (a) of this sub-paragraph bears to the amount ascertained under head (b) thereof and, secondly, an amount equal to two per cent. of the estimated annual rent income ;

(d) the aggregate amount of loan charges for the year in respect of money borrowed for the purposes of the scheme, reduced by the amount, if any, of loan charges for the year relating to expenditure not approved by the Minister for the purpose of the determination of the exchequer contribution payable in respect of the scheme ;

(e) any other items of expenditure which, in the opinion of the Minister, may properly be taken into account:

3RD SCH.
—cont.

Provided that, where moneys borrowed for the purposes of the scheme are repaid by means of a reborrowing, the rate of interest by which the loan charges in respect of those moneys are to be determined for the purposes of head (d) of this sub-paragraph shall, unless the Minister otherwise directs, be the rate at which the moneys are reborrowed, or the rate which, at the date of reborrowing, was the rate fixed by the Treasury under section one of the Public Works Loans Act, 1897, in respect of loans to local authorities advanced out of the Local Loans Fund for the purposes of Part V of the principal Act, whichever is the less.

- (2) The estimated expenditure for the financial year shall be the sum of the amounts ascertained under heads (c), (d) and (e) of the foregoing sub-paragraph.

8. If and to the extent to which an agreement made before the first day of April, nineteen hundred and thirty-five, by a local authority with the Minister under regulations made in pursuance of subsection (2) of section forty-five of the Housing Act, 1930, provides for the determination of the estimated annual loss resulting from the carrying out of a scheme under the Act of 1919 or of any item of estimated income or expenditure, that matter shall be determined in the manner provided in the agreement and not in the manner provided in the foregoing provisions of this Schedule.

9. Where, after the thirty-first day of March, nineteen hundred and thirty-five, the number of dwellings included in a scheme under the Act of 1919 is changed by reason of the sale of houses, closing or demolition of huts or other temporary dwellings, alterations of boundaries, or otherwise, the Minister may make such adjustments of the amounts of the estimated losses in respect of periods subsequent to the date of change as he may deem equitable.

10. In relation to a scheme under the Act of 1919, the produce of a rate of one penny in the pound for any financial year levied in any area shall be an amount ascertained in accordance with the following provisions:—

- (1) the produce of a rate for any period shall be deemed to be the amount actually realised during that period by the collection of rates in that area.
- (2) the produce of a rate of one penny in the pound shall be deemed to be that proportion of the produce of a rate which one penny bears to the total amount in the pound of the rate.
- (3) where it is desired to ascertain the amount of the produce of a rate of one penny in the pound levied in any area comprising two or more parts which are differentially rated, the said amount shall be separately ascertained in respect of each of those parts in accordance with the foregoing sub-paragraphs, and the sum of the amounts so ascertained shall be the produce of a rate of one penny in the pound levied in the said area.

**Sections 33, 34,
38, 39, 40.**

1. The conditions to be observed in pursuance of section thirty-three of this Act in the case of any dwelling are those set out in this Schedule.

2. The dwelling shall not be used for purposes other than those of a private dwelling-house except with the consent in writing of the local authority, and then only for such further purposes and to such extent as may be mentioned in that consent.

3. The dwelling shall, at all times at which it is not occupied—

- (a) by the applicant for the improvement grant or a member of his family, or
- (b) by a person who on the death of the applicant has (whether or not in consequence of a disposition by will) become beneficially entitled to, or to an interest in, the interest of the applicant in the dwelling or the proceeds of sale thereof, or
- (c) by a member of the agricultural population in pursuance of a contract of service and otherwise than as a tenant,

be let or kept available for letting at a rent not exceeding the maximum rent that, by virtue of the next following paragraph, may be paid by an occupier of the dwelling.

4. The rent payable by the occupier of the dwelling shall not exceed the limit imposed by section twenty of the Rent Act, 1957, and no fine, premium or other like sum shall be taken in addition to the rent.

5. If the dwelling is occupied for the time being by a member of the agricultural population in pursuance of a contract of service and otherwise than as a tenant and that contract of service is determined—

- (a) by less than four weeks' notice given by the employer, or
(b) by dismissal of the employee without notice, or
(c) by the death of either party,

the employer or his personal representative will permit the employee (or, in the case of his death, any person residing with him at his death) to continue to occupy the dwelling free of charge from the determination of the contract until the expiration of a period of four weeks beginning with the date on which the notice is given or, if the contract is determined otherwise than by notice, with the date on which it is determined.

6. All reasonable steps shall be taken to secure the maintenance of the dwelling so as to be fit for human habitation.

7. The owner of the dwelling shall, on being required so to do by the local authority, certify that the conditions specified in paragraphs 2, 3, 4 and 6 of this Schedule are being observed with respect to the dwelling, and any tenant of the dwelling shall, on being so

4TH SCH.
—cont.

required in writing by the owner, furnish to him such information as he may reasonably require for the purpose of enabling him to comply with this condition.

8. In the event of a tenant assigning, or otherwise parting with the possession of, the dwelling, it shall not be lawful for any person in consideration thereof to make any payment other than rent or for the tenant to receive, directly or indirectly, any such payment.

9.—(1) In relation to a residence house of a see or ecclesiastical benefice paragraph 3 of this Schedule shall have effect subject as follows—

(a) sub-paragraphs (a) and (b) shall be omitted, and

(b) the condition in that paragraph shall not apply at any time at which, during the tenure of the see or benefice by the bishop or incumbent, it is occupied by him.

(2) Paragraph 3 of this Schedule shall not apply to a dwelling held upon trust for use as an almshouse or as a residence of a minister of any religious denomination, so long as it is occupied or kept available for occupation as an almshouse or, as the case may be, by a minister of that denomination.

Section 50.

FIFTH SCHEDULE

THE HOUSING REVENUE ACCOUNT

1.—(1) In each financial year a local authority who are required to keep a Housing Revenue Account shall carry to the credit of the account amounts equal to—

- (a) the income of the authority for that year from rents (exclusive of any amounts included therein in respect of rates or water charges) in respect of houses and other property within the account ;
- (b) the exchequer payments (as defined in Part IV of this Act), if any, payable to the local authority for that year,
- (c) the sums, if any, paid to the local authority for that year in respect of any house which, at the time when the payment is made, is vested in the local authority, being payments made under paragraph (a) of subsection (1) of section one of the Housing, &c. Act, 1923, or that paragraph as extended by section nine of the Housing (Financial Provisions) Act, 1938 ;
- (d) the contributions, if any, payable for that year to the local authority by the county council under section twenty-three of this Act, section one hundred and fifteen of the Housing Act, 1936, section seven of the Housing (Financial Provisions) Act, 1938, or section eight of the Housing (Financial and Miscellaneous Provisions) Act, 1946 ;
- (e) the contributions, if any, payable for that year to the local authority by the county council towards expenses falling to be debited to the account, being contributions in pursuance of any agreement made under section one hundred and twenty-six of the Local Government Act, 1948, or any undertaking given under subsection (4) of section one

hundred and fifteen of the Housing Act, 1936, or subsection (2) of section eight of the Housing (Financial and Miscellaneous Provisions) Act, 1946 ;

- (f) the sums, if any, payable to the authority for that year by way of assistance under section one of the Housing (Rural Workers) Act, 1926, or in the case of a house vested in the local authority at the time of payment, under subsection (1) of section four of that Act.

(2) The Common Council of the City of London and a metropolitan borough council who are required to keep a Housing Revenue Account shall also carry to the credit of that account amounts equal to—

- (a) the payments, if any, made to them for the financial year by the London County Council under paragraph 2 of the Third Schedule to this Act,
(b) the supplementary contributions, if any, made to them for that year by the London County Council under subsection (6) of section one of the Housing, &c. Act, 1923, or under subsection (5) of section two of the Housing (Financial Provisions) Act, 1924.
(c) the contributions, if any, towards expenses incurred by them in relation to matters in respect of which the account is kept made to them for that year by the London County Council or otherwise under section eighty-nine or section one hundred and eighty-three of the principal Act.

(3) Where any house or other property within the account has been sold or otherwise disposed of, an amount equal to any income of the local authority arising from the investment or other use of capital money received by the authority in respect of the transaction shall, unless the Minister otherwise directs as respects the whole or any part of such income, be carried to the credit of the account in like manner as if it had been income from rents.

(4) An amount equal to any income of the local authority arising from an investment or other use of borrowed moneys in respect of which the authority are required under the following provisions of this Schedule to debit loan charges to the account shall be carried to the credit of the account in like manner as if it had been income from rents.

(5) Where in any financial year a deficit is shown in the account, the local authority shall carry to the credit of the account for that financial year a contribution of an amount equal to the deficit.

(6) In any financial year the local authority may carry to the credit of the account, in addition to the amounts required by the foregoing provisions of this Schedule, such further amounts, if any, as they may think fit.

(7) So much of any contribution paid by the London County Council into their Housing Revenue Account under sub-paragraph (5) of this paragraph as may fairly be regarded as attributable to the cessation on the first day of April, nineteen hundred and fifty-six, of the liability to credit sums to the Housing Revenue Account under paragraphs (1) to (3) of the Eighth Schedule to the Housing Act, 1936, shall be defrayed as expenses incurred by the London County Council for special county purposes.

5TH SCH.
—cont.

2.—(1) In each financial year the local authority shall debit to the account amounts equal to—

(a) the loan charges which the local authority are liable to pay for that year in respect of moneys borrowed by a local authority for the purpose of—

(i) the provision by them after the sixth day of February, nineteen hundred and nineteen, of housing accommodation under Part V of the principal Act,

(ii) the purchase by them of, or the carrying out of works on, any houses approved by the Minister for the purposes of section thirteen of this Act or purchased under section twelve of the principal Act,

(iii) the execution of works in respect of which the Minister has undertaken to make a contribution under subsection (2A) of section four of the Housing (Rural Workers) Act, 1926, or in respect of which the local authority for the purposes of that Act have given assistance thereunder ;

(b) rents, taxes and other charges (except rates and water charges) which the authority are liable to pay for that year in respect of houses and other property within the account,

(c) the expenditure of the authority for that year in respect of the supervision and management of houses and other property within the account,

(d) the contribution, if any, required to be made by the authority for that year to a Housing Repairs Account kept in accordance with the provisions of this Act, and

(e) the contribution, if any, required to be made by the authority for that year to a Housing Equalisation Account kept in accordance with the provisions of this Act.

(2) The London County Council shall also debit to their Housing Revenue Account an amount equal to any payments made by them for the financial year in respect of the losses incurred by metropolitan borough councils carrying out schemes under the Housing, Town Planning, &c. Act, 1919.

3. Where any functions of the local authority in respect of any houses or other property within the account are being exercised for the time being by a Housing Management Commission the foregoing provisions of this Schedule shall have effect in relation thereto subject to such modifications as the Minister may direct.

4. Where it appears to the Minister that amounts in respect of any incomings or outgoings other than those mentioned in the foregoing provisions of this Schedule ought properly to be credited or debited to a Housing Revenue Account, or that amounts in respect of any of the incomings and outgoings aforesaid which ought properly to have been credited or debited thereto have not been so credited or debited, or that any amounts have been improperly credited or debited to that account, he may give directions for the appropriate credits or debits to be made, or for the rectification of the account, as the case may require.

5.—(1) Any surplus shown in a Housing Revenue Account at the end of a financial year may be applied by the local authority in whole or in part—

- (a) for any purpose which the Minister may approve, being a purpose connected with the provision of housing accommodation,
- (b) subject to that, in making good to the general rate fund account any contributions credited to the account under sub-paragraph (5) of paragraph 1 of this Schedule in any of the four last preceding financial years,

and, so far as not so applied,—

- (i) if the financial year ends in the year nineteen hundred and sixty or any fifth succeeding year, shall be dealt with in accordance with sub-paragraph (2) of this paragraph,
- (ii) in any other case shall be carried forward in the account to the next financial year.

(2) Subject to the foregoing provisions of this paragraph, any surplus shown on the thirty-first day of March in the year nineteen hundred and sixty or in any fifth succeeding year may, as the local authority with the consent of the Minister may determine, be applied, in whole or in part, in either of the following ways or partly in one of those ways and partly in the other, that is to say—

- (a) by transferring it to the Housing Repairs Account, or
- (b) by carrying it forward in the Housing Revenue Account to the next financial year,

and, in so far as not so applied, shall be divided into two parts in proportion to—

- (i) the amount credited to the Housing Revenue Account under this Schedule during the period of five years ending with the date on which the surplus is shown in respect of exchequer payments (as defined in Part IV of this Act), and
- (ii) the amount so credited in respect of contributions under sub-paragraph (5) of paragraph 1 of this Schedule less any amounts made good to the general rate fund account under sub-paragraph (1) of this paragraph,

and an amount equal to the first of those parts shall be paid to the Minister and an amount equal to the other part shall be credited to the general rate fund account.

(3) As respects the financial year ending on the thirty-first day of March, nineteen hundred and fifty-six, the reference in paragraph (ii) of the last foregoing sub-paragraph to contributions under sub-paragraph (5) of paragraph 1 of this Schedule (which reproduces paragraph 8 of the Eighth Schedule to the Housing Act, 1936), shall include a reference to any other contributions under the said Eighth Schedule.

Section 59.

SIXTH SCHEDULE

REPEALS

Session and Chapter	Short Title	Extent of Repeal
13 & 14 Geo. 5. c. 24. 14 & 15 Geo. 5. c. 35.	The Housing, &c. Act, 1923. The Housing (Financial Provisions) Act, 1924.	Section one. Sections three and four. Sections one to eleven. Section fourteen. In section fifteen the words "under this Act and". The First Schedule. In the Second Schedule the amendment of section one of the Housing, &c. Act, 1923. The whole Act.
20 & 21 Geo. 5. c. 6.	The Housing (Revision of Contributions) Act, 1929.	
20 & 21 Geo. 5. c. 39.	The Housing Act, 1930.	Section twenty-seven. Sections forty-three to forty-six.
21 & 22 Geo. 5. c. 39.	The Housing (Rural Authorities) Act, 1931.	Section one. In section five the words "the Minister of Health and" and the words "the Minister or, as the case may be,"
26 Geo. 5 & 1 Edw. 8. c. 51.	The Housing Act, 1936.	The whole Act.
1 & 2 Geo. 6. c. 16.	The Housing (Financial Provisions) Act, 1938.	The whole Act.
2 & 3 Geo. 6. c. 31.	The Civil Defence Act, 1939.	Section thirty-four.
2 & 3 Geo. 6. c. 40.	The London Government Act, 1939.	In section one hundred and twenty-six, in subsection (6) the words "section one hundred and thirty-three of the Housing Act, 1936, and by".
7 & 8 Geo. 6. c. 33.	The Housing (Temporary Provisions) Act, 1944.	The whole Act.
9 & 10 Geo. 6. c. 48.	The Housing (Financial and Miscellaneous Provisions) Act, 1946.	Sections one to thirteen. Sections fifteen to twenty-four. In section twenty-six, in subsection (1) the words from "and the Housing Acts" to the end of the subsection. The First Schedule. In the Second Schedule each entry except that relating to the Housing (Rural Workers) Act, 1926.
9 & 10 Geo. 6. c. 68.	The New Towns Act, 1946.	The Third Schedule. Section eight. In section twenty-four, paragraph (b).
11 & 12 Geo. 6. c. 26.	The Local Government Act, 1948.	In section one hundred and twenty-six, subsection (3) and paragraph (b) of subsection (4).

Session and Chapter	Short Title	Extent of Repeal
12, 13 & 14 Geo. 6. c. 60.	The Housing Act, 1949.	Section one. Section four. In section five, subsections (1), (2), (3) and (5). Parts II and III. Sections forty-seven to forty-nine. In section fifty-one, subsections (3) and (4). The Schedules. The whole Act.
15 & 16 Geo. 6 & 1 Eliz. 2. c. 53.	The Housing Act, 1952.	
2 & 3 Eliz. 2. c. 53.	The Housing Repairs and Rents Act, 1954.	Part I, except section nineteen and subsection (1) of section twenty-two. Section twelve.
3 & 4 Eliz. 2. c. 24.	The Requisitioned Houses and Housing (Amendment) Act 1955.	
4 & 5 Eliz. 2. c. 33.	The Housing Subsidies Act, 1956.	Sections one to eight. In section ten, subsection (1). In section eleven, subsection (1) and in subsection (2) all the definitions save those of "development corporation", "dwelling", "local authority" and "the Minister". In section twelve, subsections (2) and (4). In the First Schedule, paragraphs 1 to 12. The Second and Third Schedules. In the Sixth Schedule, paragraphs 11, 13 and 14.
5 & 6 Eliz. 2. c. 25.	The Rent Act, 1957.	
Statutory Instrument, 1956, No. 2015.	The Housing Subsidies Order, 1956.	The whole Order.



Table of Statutes referred to in this Act

Short Title	Session and Chapter
Public Health Act, 1875	38 & 39 Vict. c. 55.
Public Works Loans Act, 1875	38 & 39 Vict. c. 89.
Public Works Loans Act, 1897	60 & 61 Vict. c. 51.
Housing, Town Planning, &c., Act, 1919	9 & 10 Geo. 5. c. 35.
Housing, &c. Act, 1923	13 & 14 Geo. 5. c. 24.
Housing (Financial Provisions) Act, 1924	14 & 15 Geo. 5. c. 35.
Housing Act, 1925	15 & 16 Geo. 5. c. 14.
Settled Land Act, 1925	15 & 16 Geo. 5. c. 18.
Law of Property Act, 1925	15 & 16 Geo. 5. c. 20.
Land Charges Act, 1925	15 & 16 Geo. 5. c. 22.
Universities and College Estates Act, 1925	15 & 16 Geo. 5. c. 24.
Housing (Rural Workers) Act, 1926	16 & 17 Geo. 5. c. 56.
Housing Act, 1930	20 & 21 Geo. 5. c. 39.
Housing (Rural Authorities) Act, 1931	21 & 22 Geo. 5. c. 39.
Rent and Mortgage Interest Restrictions (Amendment) Act, 1933	23 & 24 Geo. 5. c. 32.
Local Government Act, 1933	23 & 24 Geo. 5. c. 51.
Housing Act, 1936	26 Geo. 5. & 1 Edw. 8. c. 51.
Housing (Financial Provisions) Act, 1938	1 & 2 Geo. 6. c. 16.
Housing (Rural Workers) Amendment Act, 1938	1 & 2 Geo. 6. c. 35.
London Government Act, 1939	2 & 3 Geo. 6. c. 40.
National Loans Act, 1939	2 & 3 Geo. 6. c. 117.
Requisitioned Land and War Works Act, 1945	8 & 9 Geo. 6. c. 43.
Building Materials and Housing Act, 1945	9 & 10 Geo. 6. c. 20.
Housing (Financial and Miscellaneous Provisions) Act, 1946	9 & 10 Geo. 6. c. 48.
New Towns Act, 1946	9 & 10 Geo. 6. c. 68.
Local Government Act, 1948	11 & 12 Geo. 6. c. 26.
National Assistance Act, 1948	11 & 12 Geo. 6. c. 29.
Housing Act, 1949	12, 13 & 14 Geo. 6. c. 60.
Town Development Act, 1952	15 & 16 Geo. 6. & 1 Eliz. 2. c. 54.
Requisitioned Houses and Housing (Amendment) Act, 1955	3 & 4 Eliz. 2. c. 24.
London County Council (Loans) Act, 1955	4 Eliz. 2. c. xxvi.
Rent Act, 1957	5 & 6 Eliz. 2. c. 25.
Housing Act, 1957	5 & 6 Eliz. 2. c. 56.

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